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**MH@MERICS · WEEK 28 · 2026**

# Weekly Update

6 – 12 Jul 2026

- I.** Highlights
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Mikko Huotari · Mercator Institute for China Studies, Berlin

## I. Highlights

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### Spotlight: Merz calls yuan “systematically undervalued by 25-30 %”, demands currency dialogue

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At the opening of the Adenauer School of Government in Cologne on 13 July, Chancellor Friedrich Merz publicly widened Germany’s China complaint from trade to currency policy. His formulation, verbatim: “We underestimated the power and also the economic strength of the People’s Republic of China for a long time.” China, he said, must be moved to change course “not only in trade but also in monetary policy” – a topic he has raised with Chinese counterparts several times.

Specifics Merz named: China has been devaluing its currency “systematically” by “25 to 30 percent” over “several years”, and Germany should press Beijing to let the yuan “free float” – the exchange rate set by supply and demand on international FX markets, not by the PBOC.

His closing line: “We can be as good and as competitive and as innovative as we want. If your competitor is artificially undervaluing its currency – and they are – you can’t win that competition. So we also need a monetary-policy dialogue with the People’s Republic of China.”

**Source:** Bloomberg – “Merz dringt wegen unterbewertetem Yuan auf Währungsdialog mit China” (2026-07-14). <https://www.bloomberg.com/news/articles/2026-07-14/merz-dringt-wegen-unterbewertetem-yuan-auf-waehrungsdialog-mit-china>

### German China policy in context

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#### GERMANY

- **Wadephul on Spiegel CN-RU military leak: “violates the absolute core of European security interests”** – Der Spiegel investigation (with The Insider and Le Monde) publishes leaked slides from a Nov 2023 China-Russia Military-Technical Cooperation Forum plus a Jun 2023 bilateral protocol on space/anti-satellite weapons, integrated air-missile defense, autonomous swarm munitions and next-gen armor. Wadephul called the findings “extremely worrying”; Auswärtiges Amt called in China’s ambassador for an urgent talk (“dringliches Gespräch”).
- **Wadephul in Norway names China’s Arctic push alongside Russia** – Auswärtiges Amt release (2026-07-13). Wadephul: “China is also systematically boosting its presence in the Arctic.” Trip covered NATO’s north flank, DE-NO-CA 212CD-class submarine cooperation, critical raw materials.

#### EU INSTITUTIONAL

- **EU drafts “Buy European” rules for public tenders to curb foreign dependence** – Reuters.
- **French commissioner pushes “Buy European” in public procurement** – FT. Coordinated with the Reuters draft above.

- **EU imposes anti-dumping measures on Chinese tyre firms** – [SCMP](#).
- **Peking duck dispute heightens EU-China trade tensions** – [FT](#). First EU anti-dumping probe on a Chinese agricultural product.
- **China offers to defuse EU trade clash after Wang Yi's Nordic trip** – [Bloomberg](#).
- **Wang Yi says China welcomes stronger European business relations** – [Bloomberg](#).
- **"The EU can stand up to China if it hangs together"** – [Reuters Breakingviews](#).
- **Europe's "China shock" panic is ill-informed** – [FT \(Free Lunch, Martin Sandbu\)](#). Pushes back on the alarmist framing driving Brussels.
- **EU weighs emergency import curbs amid trade gap surge** – [SCMP](#). Brussels is signaling the potential for emergency import restrictions following a dramatic widening of the trade deficit with Beijing.
- **Redonnet confirms push for Chinese government procurement commitments** – Briefing the European Parliament, EU trade enforcer Denis Redonnet said the EU will press Beijing for *"direct purchase commitments, in particular where trade is taking place via government procurement"*. [Finbarr Bermingham on X / SCMP](#).
- **Chinese customs data highlights widening EU trade deficit** – June 2026 GAC data (H1 YTD): Chinese exports to the EU +16.8% (\$312.2bn), imports from the EU +8.7% (\$135.6bn). [Finbarr Bermingham on X / SCMP](#).

#### EU MEMBER STATES

- **Deal between Danish NATO port and Chinese peer draws criticism** – [Nikkei](#).
- **Beijing seeks chip stability and fair market access during Dutch trade minister's trip** – [SCMP](#).
- **Norway urges China to help bring Russia to Ukraine peace talks** – [SCMP](#). Wang Yi's Nordic stop, same trip context as Wade's.
- **Lithuania to normalize diplomatic ties with China** – Point 380 of the new Vilnius government's work programme reverses the previous administration's confrontational line: *"We will normalize diplomatic relations with China to the level of diplomatic representation that exists in other EU member states"*. [Finbarr Bermingham on X / SCMP](#).
- **German-Chinese trade imbalance worsens** – H1 2026 GAC data: Chinese exports to Germany +19.0% YoY (\$67.4bn), imports from Germany +1.8% (\$45.1bn). [Finbarr Bermingham on X / SCMP](#).

### MERICS

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#### MERICS RESEARCH AND (MEDIA) INSIGHTS

**China's export surge + Huawei's Tau Scaling Law + Sino-German trade.** Beijing is promoting the narrative that China's flood of exports is more an issue of European competitiveness than a threat from Chinese overproduction. (*MERICS Europe China 360°, Jul 10*)

**China's moment to shape a new global order.** Recent visits to Beijing by Trump and Putin and a more favorable geopolitical environment have given Beijing more strategic space to advance its vision, says Claus Soong. (*Comment, Jul 07*)

**MERICS Data Insight: Chinese export prices.** In this edition of MERICS Data Insights, MERICS Visiting Fellow Esther Goreichy looks at Chinese exports of high-end goods to the European Union. (*Comment, Jul 06*)

**EU-China and the mirage of dialogue.** Issue 255 | In collaboration with Mercator Institute for China Studies (MERICS). (*Soapbox, Jul 06*)

#### SELECTED INSIGHTS FOR MEDIA BY COLLEAGUES

**Daria Impiombato** quoted by **NZZ International** on why China's influence operation campaign was not a complete failure for Beijing.

**Grzegorz Stec** quoted by **International Economic Law and Policy Blog** – “Writing for The Wire, Grzegorz Stec of the Mercator”

**Wendy Chang** quoted by **Handelsblatt** on rising global use of Chinese AI models as they keep improving.

**MERICS** op-ed in **SOAPBOX**: on EU-China dialogue

**MERICS** cited by **International Business Times SG**: on China-Russia military cooperation and naval drills

**Wendy Chang** quoted by **The Economic Times**: on the Meta-Manus deal as a turning point in the US-China AI race

**MERICS** cited by **elDiarioAR**: on China's AI expansion

**MERICS** cited by **ESB**: on China's Five-Year Plan and industry policy

**Antonia Hmaidi** quoted by **WirtschaftsWoche**: on China's AI ambitions and the fourth industrial revolution

**Alexander Brown** quoted by **Tagesschau**: on China's biotech advantages in cost, scale and speed, and the need to strengthen European biotech supply-chain resilience – piece draws on Brown's MERICS analysis of China's biotech rise.

#### MERICS INSTITUTIONALLY CITED (NO NAMED EXPERT)

**FT (Edward White)**: MERICS China Overcapacities Monitor cited on lossmaking industrial businesses rising from ~10% (2010) to ~25% (2025).

**Asia Society (Philippe Le Corre)**: MERICS Europe-China Resilience Audit cited on the complexity of European perceptions of China across economic, political, security and societal dimensions.

**Neue Zürcher Zeitung** (Sabine Gusbeth): MERICS analysis cited that nearly 24% of Chinese firms were loss-making last year – deflation risk from ruinous domestic price competition.

# Top charts and visuals W28

**Chart 1 – Chinese experts push back on Europe’s China Shock 2.0 consensus** (MERICS; selected quotes on EU-China relations from Li Chao and Lü Yunmou (CICIR), Jian Junbo (Fudan), Su Qingyi & Jiang Yang and Zhang Bin (IWEPP/CASS), May–June 2026)

# Chinese experts push back on Europe's China Shock 2.0 consensus



Selected quotes from Chinese experts on EU-China relations (May-June 2026)



**Li Chao (李超)**  
Deputy Director of  
the European Studies  
Institute, CICIR

"[Europe's industrial development's] defining features are that it harms others at its own expense, applies double standards, and says one thing while doing another. Since the outbreak of the Russia-Ukraine conflict, the EU has aggressively pushed to end its dependence on Russian energy, an approach tantamount to severing its own lifelines."

MAY 2026



**Lü Yunmou (吕蕴谋)**  
Head of the  
European Integration  
Project, CICIR

"Far from being the cause of Europe's current predicament, China-EU cooperation offers a powerful means of helping Europe overcome it. The EU appears to believe that taking a tougher stance toward China can reverse its industrial decline and preserve its global standing. But this is a profoundly costly strategic miscalculation, and ultimately it is the EU itself that will pay the price."

MAY 2026



**Jian Junbo (简军波)**  
Deputy Director  
of the Center for  
China-EU Relations,  
Fudan University

"From China's perspective, China's surplus is not caused by subsidies or so-called 'overcapacity,' but rather stems from China's higher international competitiveness than Europe. It is also an objective result of natural differences in the international division of labor and industrial structure under globalization, without any artificial distortion or deliberate manipulation."

MAY 2026



**Su Qingyi (苏庆义)  
& Jiang Yang (姜扬)**  
Director of the In-  
ternational Trade  
Research Division  
at the Institute of  
World Economics and  
Politics (IWEP), CASS

"At a time of intensifying global industrial competition and mounting geopolitical risks, Europe continues to see itself as a traditional great power. It has failed to confront the relative decline of its position in the global political and economic order or to adjust its role accordingly. This not only makes it harder to resolve its deep-seated internal crises, but also leaves Europe in an increasingly disadvantageous strategic position."

JUNE 2026



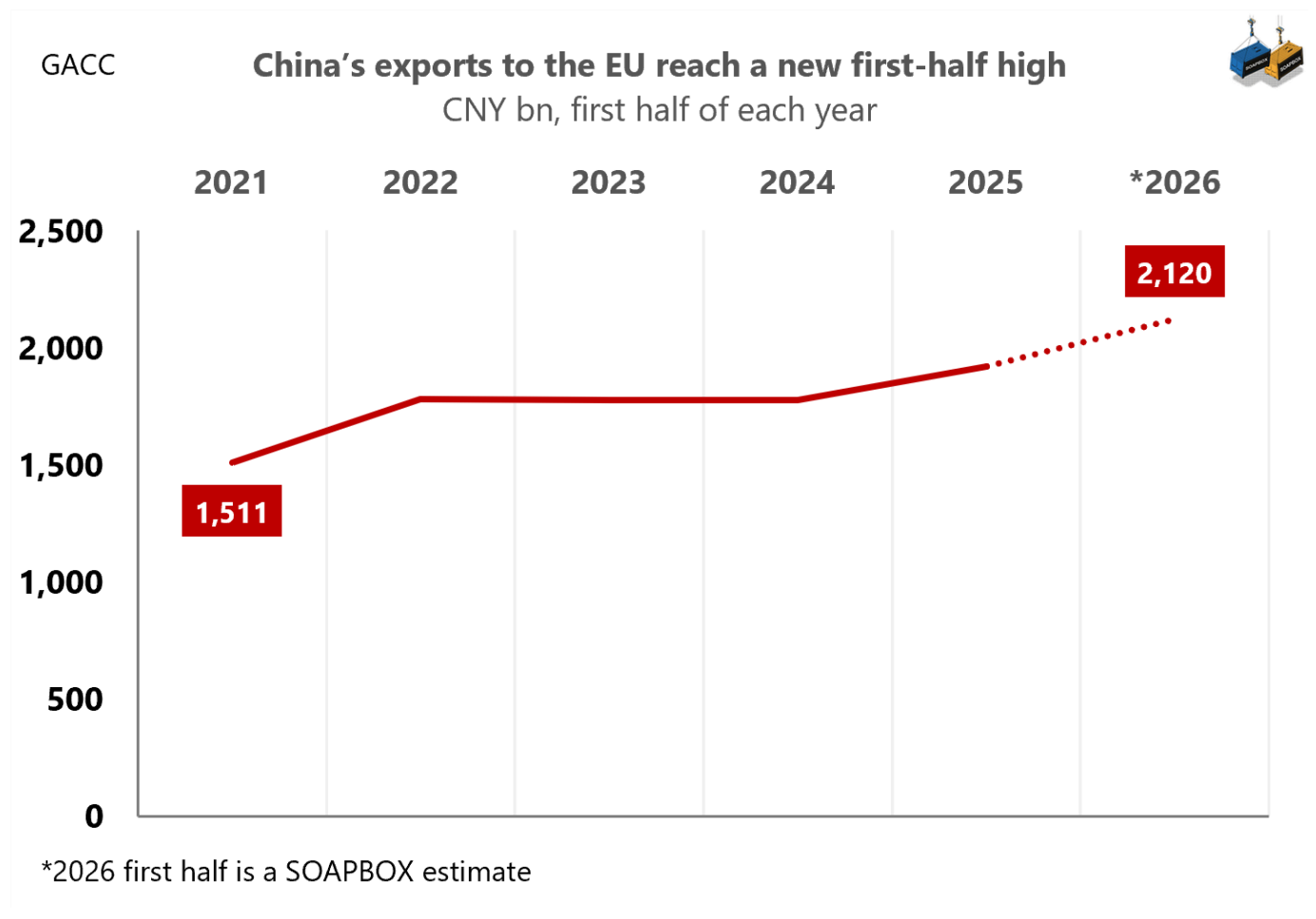
**Zhang Bin (张斌)**  
Deputy Director and  
Senior Fellow, IWEP,  
CASS

"Many of Europe's concerns and demands regarding China are already reflected in the priorities of China's 15th Five-Year Plan and in its efforts to build a unified national market. The unified national market initiative emphasizes 'five unifications and one opening-up,' including reducing barriers to market access, promoting fair competition, and preventing improper subsidies. Are these not precisely the kinds of measures Europe has been calling for?"

JUNE 2026

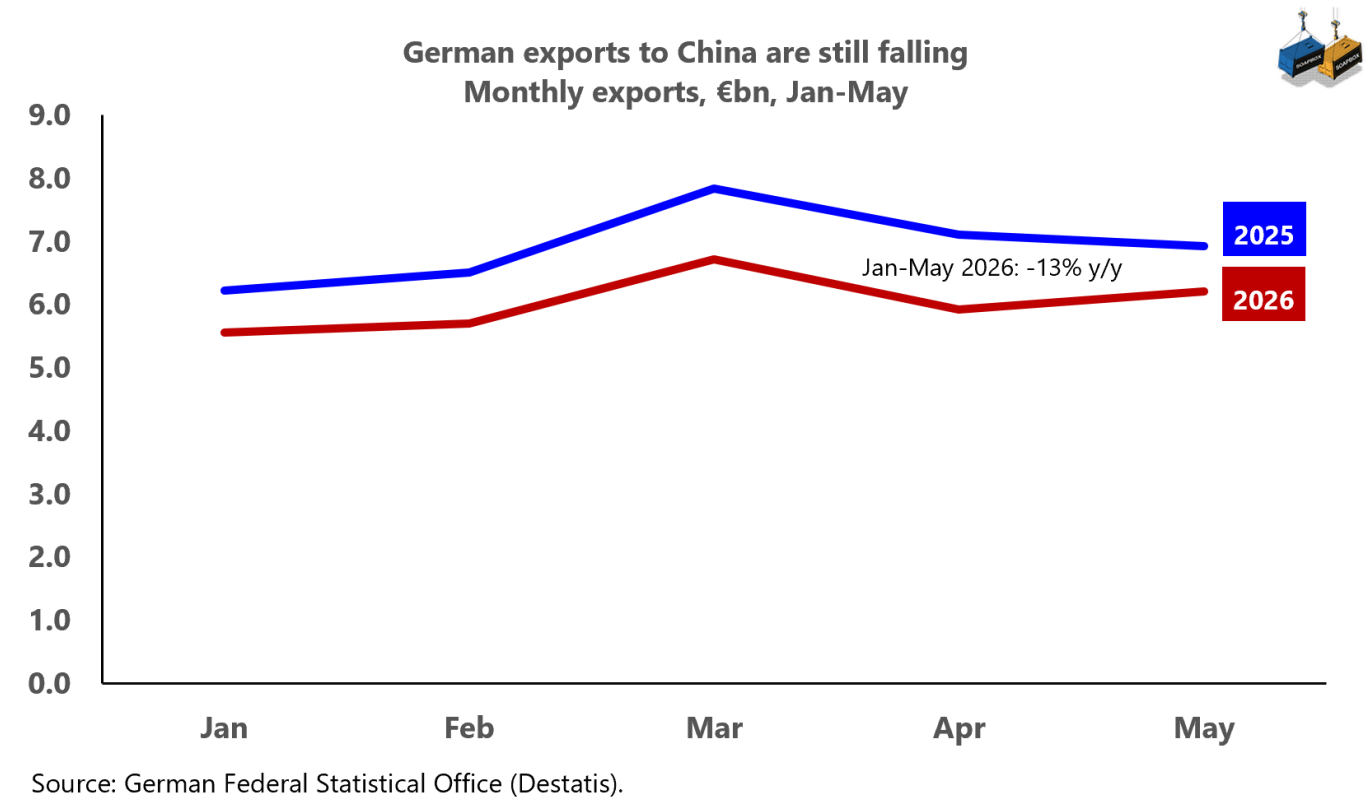
Source: MERICS

**Chart 2 – China's H1 exports to EU projected at CNY 2.12tn, up 40 % from H1 2021 (CNY 1.51tn)** (Soapbox #256 × MERICS; China Customs, CNY, H1 2021–H1 2026 estimate)

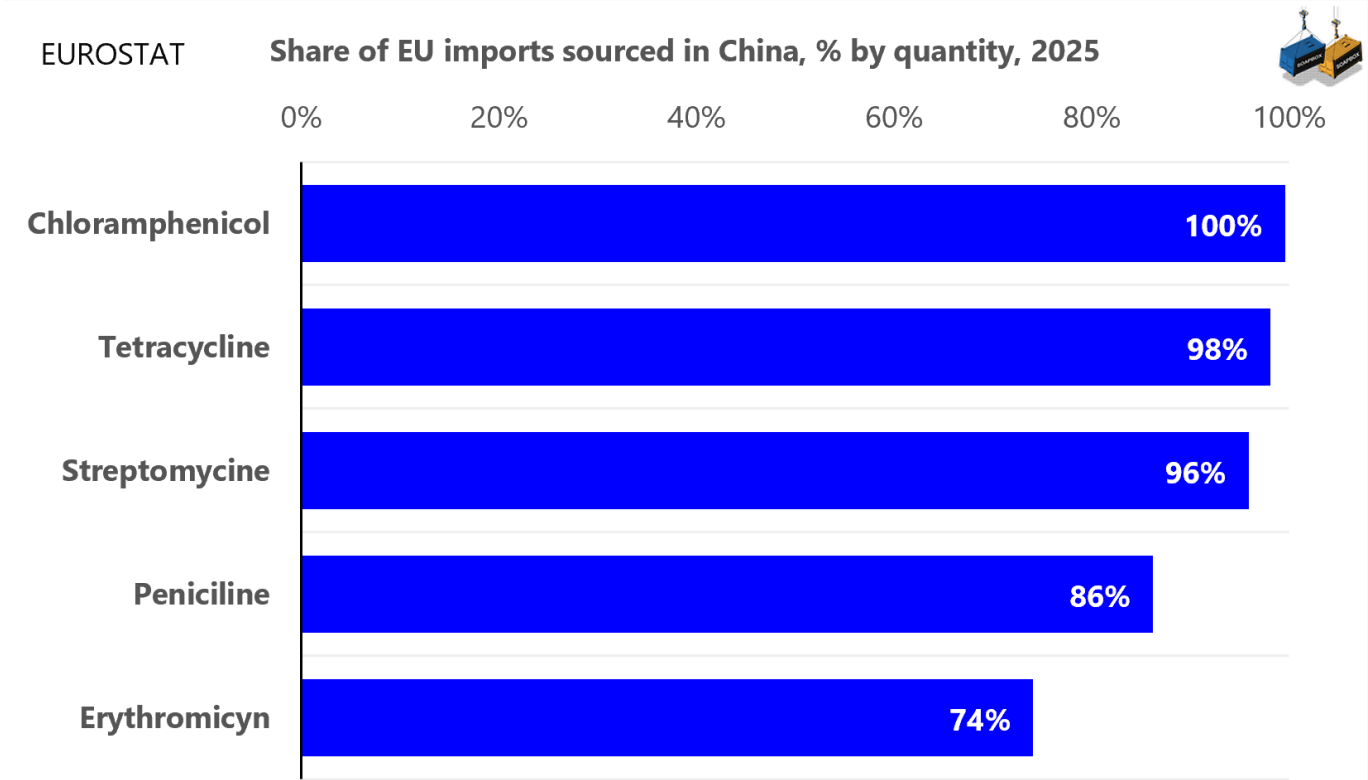




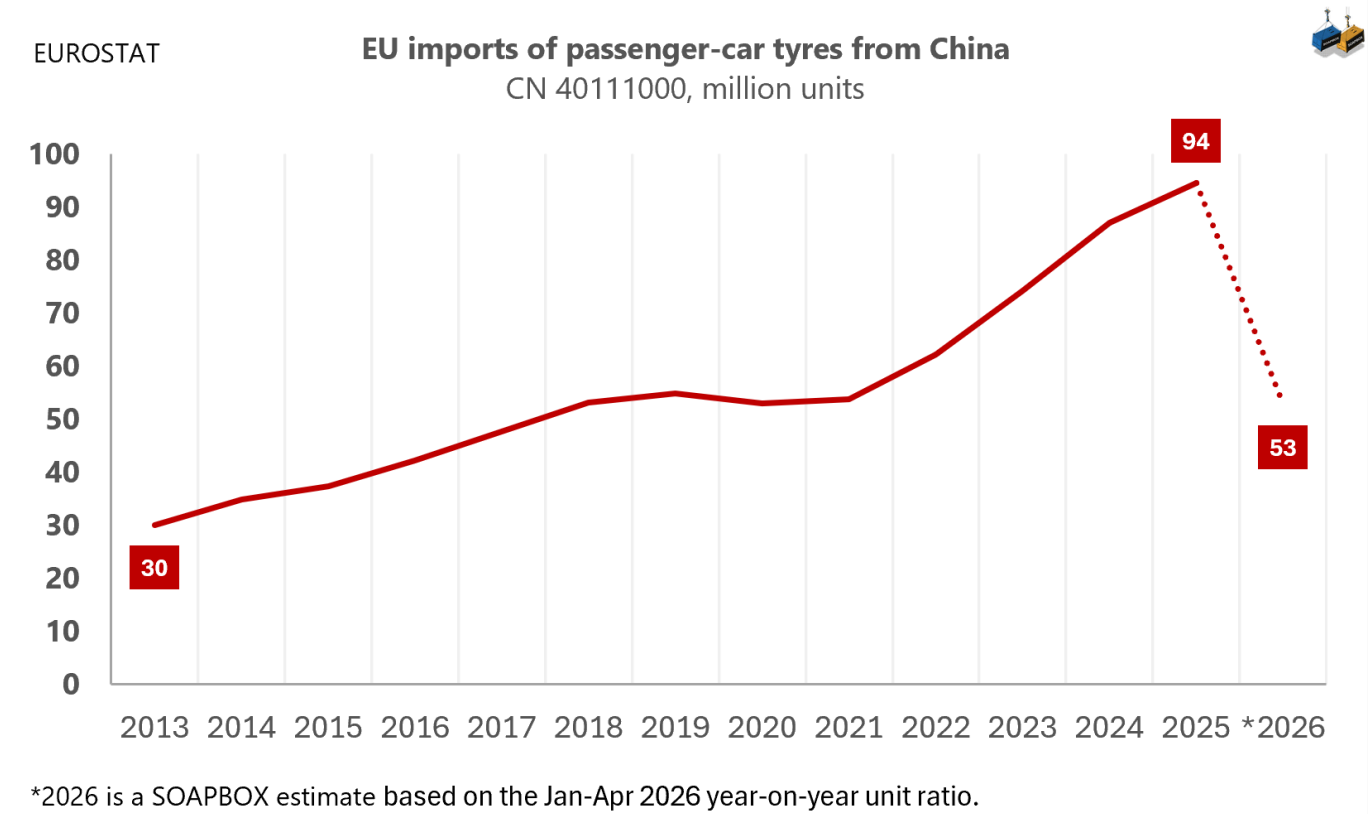
**Chart 3 – German exports to China fell 13 % YoY in Jan–May 2026, with monthly drops of 10–17 %** (Soapbox #256 × MERICS; Destatis, % YoY, Jan–May 2026)



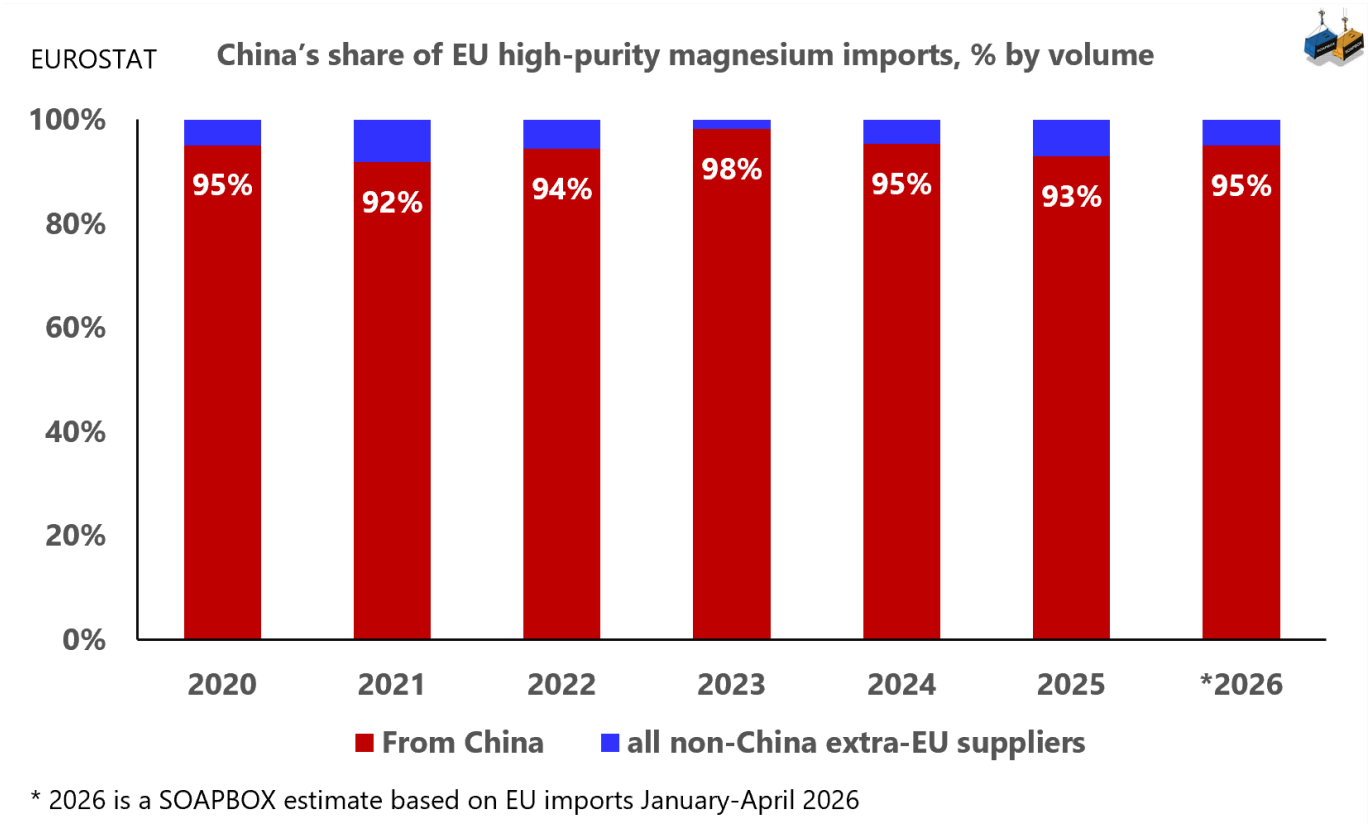
**Chart 4 – China supplied 86 % of EU penicillin-family API imports in 2025; Sandoz filed an anti-dumping complaint on amoxicillin in May 2026** (Soapbox #256 × MERICS; Eurostat + China Customs, % of quantity, 2025)



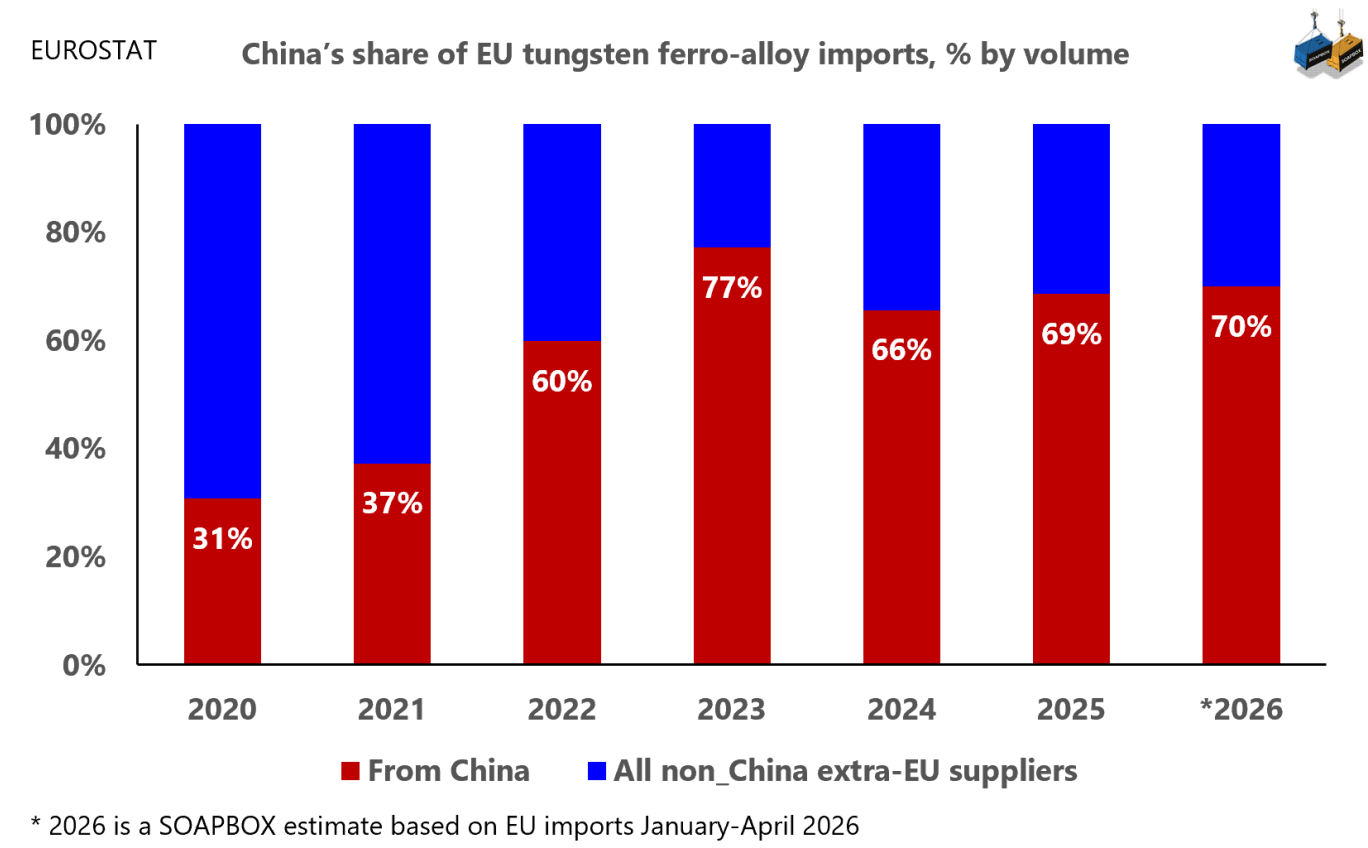
**Chart 5 – EU passenger-car tyre imports from China ran at 56 % of prior-year volume and 54 % of prior-year value in Jan–Apr 2026 – already contracting before July anti-dumping duties took effect** (Soapbox #256 × MERICS; Eurostat CN 40111000, % of Jan–Apr 2025, Jan–Apr 2026)



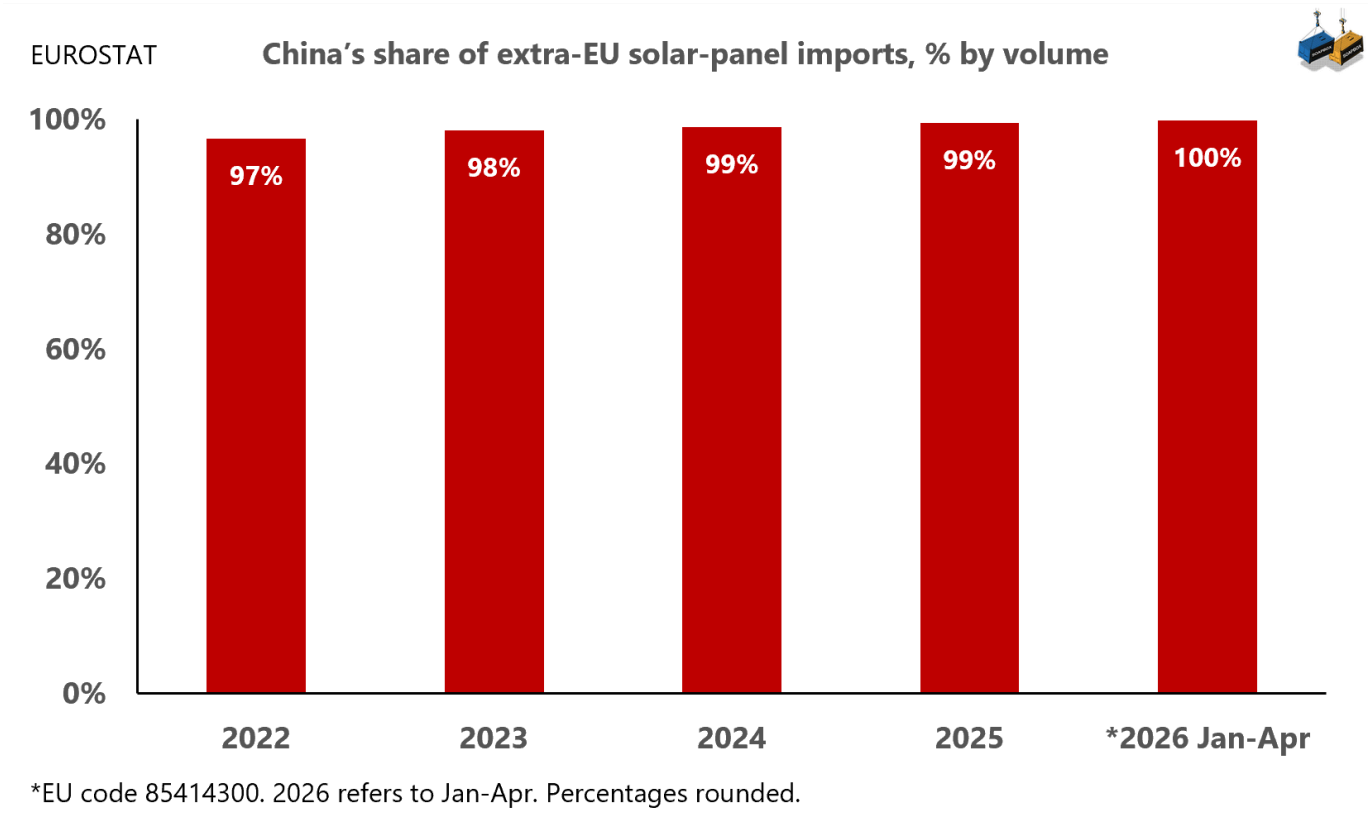
**Chart 6 – China supplied 93 % by quantity and 89 % by value of EU unwrought-magnesium imports in 2025, at unit values roughly 40 % below non-China alternatives**  
(Soapbox #256 × MERICS; Eurostat + China Customs, % of EU imports, 2025)



**Chart 7 – China supplied ~69 % of EU ferro-tungsten imports in 2025 while the EU absorbed 43 % of China’s ferro-tungsten exports – Chinese-origin unit value ran about 5 % below alternatives (Soapbox #256 × MERICS; Eurostat + China Customs, % of trade flows, 2025)**



**Chart 8 – EU absorbed 37.3 % of China’s 2025 solar-panel exports, making it China’s largest single market amid global overcapacity** (Soapbox #256 × MERICS; China Customs, % of Chinese solar-panel export volume, 2025)



### III. International

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#### 1. Domestic economic situation and policy

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FT · 13 JUL 2026

##### AI is not enough to arrest China's decline

- **China's share of global GDP fell from 18% to 16.5% since its 2021 peak:** Independent estimates put real growth near zero – well below the official 4.5–5% target – the author argues.
  - **Total debt at 350% of GDP, property prices at 20-year lows:** The augmented government deficit is nearly 15% of GDP and capital outflows totalled a record \$425bn last year, the author reports.
  - **Chinese AI investment at \$100bn, against \$750bn by US rivals:** AI-related exports supply about a third of China's growth, while the expected productivity boost is just ~0.3 percentage points by 2030, the author argues.
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BLOOMBERG · 9 JUL 2026

##### China gets chance at fiscal rethink after debt cleanup milestone

- **Provinces nearing full use of Beijing's 6 trillion yuan debt-swap quota:** Bloomberg data show 94% was drawn by end-June, with the remainder likely exhausted in July or August.
  - **Debt-swap austerity has shaved 0.2pp from China's 2026 expansion:** Bloomberg Economics links the drag to a 0.3% year-on-year fall in broad government expenditure in January-May.
  - **Infrastructure bond issuance fell behind 2025's first-half pace:** Provinces deployed 44% of their special bond quota by end-June versus 47% at the same point last year, reflecting tighter project scrutiny.
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FT · 10 JUL 2026

##### China drops urban employment target as economic pressures build

- **China's 2026-2030 plan sets no urban employment target:** The first such omission since the 1990s coincides with net urban employment growth slowing to 2mn in 2025, down from 11mn in 2023.
  - **Rural migrant return data point to hidden urban job losses:** Of 180mn rural workers seeking urban employment last year, 49mn returned to their villages, according to NBS data cited in the article.
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BLOOMBERG · 6 JUL 2026

##### China Steps Up Financial Risk Cleanup Under New Top Regulator

- **China's top financial regulator seized Z-Bank and approved Zhongrong Trust's bankruptcy:** The National Financial Regulatory Administration announced both actions on the same day, marking the first major enforcement moves under new chief Ding Xiangqun [丁向群].
  - **High-risk small and medium financial institutions fell over 70% from 2022 levels:** Vice Premier He Lifeng [何立峰] made the disclosure at the Lujiazui Forum, citing years of behind-the-scenes cleanup ahead of the latest enforcement actions.
  - **Zhongrong International Trust [中融国际信托], which missed payments in 2023, failed to recover despite restructuring:** The shadow banking firm - once managing over \$108 billion and heavily exposed to real estate - will be liquidated after trustees could not restore solvency.
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## **China asks bankers to avoid underwriting short-term LGFV bonds**

- **NAFMII asked bankers to stop underwriting sub-two-year LGFV bonds:** The interbank market regulator issued informal guidance this week to restrict short-term bond underwriting by weaker local government financing vehicles.
  - **LGFVs hold 790 billion yuan in sub-two-year notes, 65% maturing in 2026:** Total LGFV bonds outstanding stand at 16 trillion yuan, with roughly 5 trillion yuan due before end-2027, according to Bloomberg-compiled data.
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## **China's state-directed absorption of local bank highlights debt pressure**

- **NFRA placed Wuhan Z-Bank under one-year state management:** Regulators cited severe credit risks at the private online lender; Hankou Bank was designated to absorb its assets and operations.
  - **China's piecemeal small-bank absorption campaign continued in Hubei:** Beijing has guided larger banks to absorb smaller, distressed rural lenders over the past year amid a property downturn.
  - **Fitch identified smaller, unrated banks as China's highest credit risk:** The warning followed state intervention at Z-Bank, which had issued a 500 million yuan interbank CD as recently as June.
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## **China needs another Zhu Rongji to cut industrial excess**

- **Auto capacity nearly doubles domestic car sales:** China's car-making capacity of 45-50mn units far exceeds 2025 domestic sales of 23.9mn, the FT reports.
  - **Consolidation via M&A seen as Beijing's likely response:** Professor Keyu Jin expects mergers to cut brand numbers while preserving jobs - echoing Zhu Rongji's 1990s "zhua da, fang xiao" strategy.
  - **Auto exports surged 60% year-on-year in early 2026:** Shipments reached over 4mn cars by end of May, with industry forecasts predicting up to 10mn for the full year against 7.1mn in 2025.
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## **China climate plan pushes renewables in factories, data centers**

- **China's new five-year climate plan shifts from capacity-building to utilisation:** The plan targets renewable integration into factories, data centers and transport through storage, electrification and green hydrogen, Bloomberg reports.
  - **Coal-to-chemicals sector faces retrofits but no output restrictions:** The plan calls for reduced coal consumption per unit of output and gradual feedstock substitution rather than limits on the fast-growing industry.
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## **China Targets 8 Trillion Yuan Recycling Industry by 2030**

- **China targets 8 trillion yuan recycling industry by 2030:** The newly released 15th Five-Year Plan for the circular economy sets a 60% output value increase from 2025 levels.
  - **Recycling plan addresses rising EV and clean-energy waste volumes:** Beijing frames the strategy around critical material security and carbon reduction, according to Caixin.
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## **China's Factory-Price Growth Quickens, Consumer Inflation Eases**

- **China's PPI rose 4.1% year-on-year in June:** The fourth consecutive monthly gain ended a 41-month deflationary streak, driven by commodity price disruptions from the Middle East conflict.
  - **CPI undershot the 1.2% forecast at 1.0% year-on-year:** Core inflation cooled to 1.0% from 1.1%, with Capital Economics attributing the softness to fading trade-in subsidies and persistent domestic disinflationary forces.
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## **China bolsters protections for older workers to boost labor force**

- **New rules mandate written contracts and minimum wages for post-retirement workers:** Employers must prohibit overtime and fund full workplace injury insurance for those continuing work past retirement age, the article reports.
  - **China's working-age population stands 4% below its 2013 peak at 968 million:** The UN projects the 15-64 cohort will fall below 750 million by 2050 as birth rates continue to accelerate downward.
  - **Youth unemployment at 15.6% raises concern about displacement of new graduates:** The article notes that broader senior workforce participation could reduce job opportunities for young workers already facing unemployment three times the national rate.
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## **China's hukou system reforms: will local government reluctance fail migrant workers?**

- **State Council proposed decoupling public services from the hukou in May:** Local governments resist implementation because tying services to residency registration allows them to control population size and limit public spending, analysts said.
  - **China's migrant worker population surpassed 357 million per May census data:** Many workers in the digital economy have reduced incentive to obtain a hukou, as registration ties them to a single location.
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## Why China's technical schools offer both hope and despair for jobless college grads

- **Vocational schools with graduate programmes nearly doubled since 2023:** A survey of 105 institutions found the number offering formal graduate courses rose from 26 to 45 between 2023 and 2025.
  - **Promised state-firm placements proved illusory for reskilling graduates:** The Economic Observer reported that “guaranteed employment” pledges covered low-paid service posts such as canteen work, with students ultimately relying on their own resources to find jobs.
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## China Demand for Soviet-Style Apartments Shows Limits to Revival - Bloomberg

- **Shanghai small-flat prices rose 2.4% from November through April:** Homebuyers in major cities are gravitating toward Soviet-era “laopoxiao” apartments for their central locations, bypassing new developments and cash-strapped developers.
  - **Recovery is confined to top-tier cities and bypasses unsold developer stock:** Tier-2 and tier-3 used-home prices have not seen a positive month since 2023, per Bloomberg-compiled data.
  - **Nationwide home price declines accelerated in May, reversing recent stabilisation:** New and used prices fell faster month-on-month, and analysts warn the market has entered a traditionally weak selling season.
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## Beijing and Tokyo can learn from China's 'Hong Kong of the north'

- **Li Qiang invoked "innovation" 62 times in a 40-minute Davos speech:** The premier framed R&D-driven development as the path to long-term growth, dismissing state subsidies as unaffordable.
  - **China's corporate R&D spending grew 23-fold between 2000 and 2023:** OECD data nonetheless show Chinese firms received 3-8 times more state support than OECD counterparts over the same period, the article notes.
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## China Adds Semaglutide, Cancer Drugs to Essential Medicines List After

- **China's essential medicines list updated for the first time in eight years:** The National Health Commission's 2026 edition adds 116 therapies - including semaglutide and cancer drugs - bringing the total catalog to 794.
- **Public hospitals now mandated to stock newly listed innovative therapies:** The revision ends what Caixin describes as a protracted freeze on the state drug procurement framework.

## 2. Politics and society

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FOREIGN POLICY · 8 JUL 2026

### Xi is defining history on his own terms

- **Xi's July 1 speech cast reform as a completed historical stage:** The author argues that listing revolution, construction, reform, and the “New Era” as four distinct eras formally closes the reform chapter.
  - **New Era framing gives Xi sole ownership of a historical period:** Unlike the reform era shared with Deng, Jiang, and Hu, Xi's New Era has no co-owners, the author writes.
  - **Official "reform" language now serves control rather than liberalisation:** The author argues reform is now an instrumental tool subordinate to party leadership, not a political value in its own right.
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JAMESTOWN · 10 JUL 2026

### Xi's Leninist Selectocracy has Cemented Party Dictatorship

- **Xi abolished Hu-era straw polls for cadre selection:** A personally chaired Cadre Assessment Leading Small Group replaced them, with political loyalty and incorruptibility serving as mandatory veto criteria.
  - **The 21st Party Congress faces a major Central Committee reshuffle:** Researchers project up to two-thirds of members will be new, most reaching adulthood only after Mao's death.
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NYT · 7 JUL 2026

### Cai Qi, a tall silver-haired figure constantly at his shoulder

- **Cai Qi appointed Central Party School president to vet next-generation cadres:** According to the NYT, he will likely prepare candidate dossiers for Xi Jinping ahead of the 2027 party congress.
  - **Over two-thirds of Central Committee members face mandatory retirement at the 2027 congress:** An age norm requires officials aged 68 or older at the time of the party congress to step down.
  - **Xi's purge of his own PLA appointees deepens cadre trust deficit:** Those removed included General Zhang Youxia, whom Xi had retained beyond retirement age as China's top uniformed commander.
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NIKKEI · 5 JUL 2026

### China's military adds 2 generals after anti-corruption purge thins ranks

- **Xi promoted two officers to general after corruption purges depleted the Central Military Commission:** Wang Shuguang [corrected in article to Wang Gang] and Zhang Shuguang were elevated on 3 July, with Zhang named head of the commission's anti-corruption body.
  - **The commission has been effectively reduced to two active members:** Multiple purges removed former vice chairs, leaving Xi and Vice Chair Zhang Shengmin as the only functioning members of the seven-seat body.
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NYT · 9 JUL 2026

## **Factory Fire in China Causes 'Significant' Casualties, Xi Says**

- **Xi Jinping ordered probe and accountability after Jinjiang factory fire:** A shoe factory blaze in Fujian caused “significant” casualties, according to CCTV, with Xi calling for rescue efforts and accountability for those responsible.
  - **Fire ignited on the first floor in raw-material storage at Huiteng Shoes (Jinjiang):** 28 died as blocked stairwells hampered rescue on upper floors; the blaze was mostly extinguished by 5 p.m. local time, according to Beijing News.
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WSJ · 10 JUL 2026

## **Deadly Factory Fire Highlights Dangers of China's Manufacturing Might**

- **Fatal shoe factory fire kills 28 in Jinjiang, Fujian:** The blaze at Huiteng Shoes, with 237 workers on site, prompted Xi Jinping to call for an investigation and urge production safety vigilance.
  - **Authorities detained the company head and froze accounts:** The fire follows recent fatal accidents including a coal mine explosion in May that killed more than 80 people.
  - **Safety costs first cut under financial pressure, advocacy group says:** China Labor Watch founder Li Qiang cited economic slowdown as driving safety shortcuts, with workers lacking effective channels to raise concerns.
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BLOOMBERG · 7 JUL 2026

## **Gao Shanwen, Economist Who Challenged China's GDP Data, Dies at 54 - Bloomberg**

- **Gao Shanwen, economist who disputed China's official growth data, dies:** Bloomberg reports Gao said in Washington in late 2024 that growth was around 2%, against an officially reported figure of close to 5%.
  - **China investigated and disciplined Gao after his Washington remarks:** The Wall Street Journal reported the action weeks after he publicly challenged official growth figures; he left his firm at SDIC Securities in November 2025.
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FT · 8 JUL 2026

## **Outspoken Chinese economist who doubted official GDP data dies**

- **Gao Shanwen died after publicly contesting China's official GDP figures:** At a 2024 Washington conference, the SDIC Securities economist estimated real growth at “around 2%” - against the official 5%.
  - **His death drew Weibo comparisons to the Li Wenliang moment:** Users mourned him as a “truth teller”, echoing the 2020 online vigil for China's Covid-19 whistleblower.
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## **Opinion: I'm Free. Now Pray for China**

- **Zion Church pastor freed after 266 days, all charges dropped:** Ezra Jin, detained in October among 28 total pastors, staff and church members, was released without confession required and credits Trump's diplomacy for securing his freedom.
  - **Eight church members and other prisoners of conscience remain in detention:** The author reports detainees sleep on floor mats in blistering heat in cramped cells, many leaving young families behind.
  - **Jin calls for legalising house churches alongside state-run congregations:** The author proposes recognising unofficial worship under the same dual-track model China applies to private industry alongside state-owned enterprises.
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## **Tibet-Born Man Dies Outside U.N. After Appearing to Set Himself on Fire**

- **Tibetan activist died after self-immolating outside New York's UN headquarters:** Lobsang Palden, 52, set himself on fire Thursday in apparent protest of China's rule over Tibet, activists and police said.
  - **Protest coincided with China's new ethnic unity law taking effect:** The law - reflecting Xi Jinping's ethnic assimilation agenda - took effect the day before; Palden had publicly protested it that week.
  - **Beijing defended the law and called Tibet inalienable Chinese territory:** China's foreign ministry said the incident falls under U.S. law and defended its ethnic regulations against claims it called fabricated.
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## **The Dark Side Behind China's Youth 'Correction' Industry**

- **Private Chinese "correction" institutions detain adult children at parental request:** Caixin reports a 21-year-old student was lured home under a false pretext so her mother could commit her to such a facility over a disapproved romantic relationship.
  - **Caixin links the sector to coercive enrolment and systematic abuse:** The investigation characterises deception, abduction and physical mistreatment as widespread in China's private youth rehabilitation industry.
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## **Plenty of players but no grassroots: can China ever grow into a footballing giant?**

- **Village Super League inspires 13 provincial amateur football leagues:** Guizhou's Cun Chao, which went viral in 2023 drawing crowds of over 10,000, prompted regional governments across China to create copycat competitions, with Xi Jinping praising the phenomenon in his 2024 New Year's speech.
  - **Jiangsu amateur league final drew 62,329 spectators, exceeding Ligue 1 averages:** The Su Chao final in November packed Nanjing's Olympic sports centre, with later-round attendance averaging over 30,000 - surpassing France's Ligue 1 season average of around 27,500.
  - **Experts say leagues function as spectacles with no pathway to professional football:** According to analysts cited in the article, the competitions lack structural connection to China's professional pyramid, and state co-optation is expected to undermine organic grassroots development.
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## **China can ban AI boyfriends. It can't make men listen**

- **CAC rule on anthropomorphic AI takes effect mid-July:** The regulation targets AI companions marketed for romantic or intimate roles; ByteDance, Alibaba and Tencent have already disabled persona-creation features on their consumer chatbots ahead of the deadline, per the author.
- **Women are the main audience for China's AI-romance boom:** The author reports that “AI boyfriends” – not girlfriends – drove the surge, with young women turning to chatbots against a backdrop of a tough job market, macroeconomic uncertainty and rat-race social pressures.
- **Author reads the ban as symptom-treatment, not cure:** Thorbecke argues Beijing is regulating the interface rather than the underlying gender dynamics driving demand – contrasting with Grok's launch of anime-girl companions targeting men in the US market.

## **3a. Geoeconomics – tech & innovation**

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## **Opinion: Are the U.S.' AI models better than China's? That may be beside the point**

- **Stanford study puts US-China frontier AI gap at 2.7%:** US and Chinese models have traded the lead several times since early 2025, with Anthropic's best model ahead by that margin as of March, according to the article.
  - **Author argues China is commoditising AI rather than competing at the compute frontier:** Unable to match US chip access, Chinese firms release cheap open-weight models to erode the premium pricing that OpenAI and Anthropic depend on, the author contends.
  - **Hugging Face data shows declining US open-weight dominance through 2025:** A study of 851,000 models and 2.2 billion downloads found DeepSeek and Qwen driving China's rising share of global open-weight AI adoption.
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## **American A.I. Companies Say Chinese Copycats Are Quickly Catching Up**

- **Anthropic accused Alibaba of large-scale model distillation:** A June 10 Senate letter alleged Alibaba used ~25,000 fraudulent accounts to harvest ~28.8 million Claude interactions for AI training.
  - **Z.ai released a model rivalling top US AI systems:** GLM-5.2 performs comparably to leading American AI in cybersecurity, an area the Trump administration has identified as geopolitically critical.
  - **Anthropic called on Congress to legislate against distillation attacks:** The company also urged extension of chip export controls, arguing China cannot effectively distill AI models without US-designed semiconductors.
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## China's Answer to AI Sticker Shock

- **Z.ai's GLM-5.2 ranks 5th globally at lower cost:** The model sits behind three Anthropic and one OpenAI model, ahead of Google Gemini - at roughly one-fifth the cost.
  - **Cost concerns are driving US firms toward cheaper Chinese AI:** Coinbase claims to have halved AI spending via GLM-5.2 and Kimi; Uber reportedly exhausted its full 2026 Anthropic budget within months.
  - **US-China AI gap not widening despite chip export controls:** The article argues America's AI lead is at real risk as model performance gaps have not widened and may be shrinking.
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## The AI token takeover in China

- **Token demand in China's AI sector is outpacing executive forecasts:** Surge in coding tools and AI agents has driven consumption of tokens - the basic processing unit of LLMs - well beyond company projections, Caixin reports.
  - **Tech giants and startups are battling over token pricing and compute capacity:** The contest spans pricing, computing power, corporate clients, and new layers of AI infrastructure, according to the article.
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## China Weighs Limits on the AI Models American Companies Love

- **American firms adopting Chinese AI models for lower-cost workloads:** DoorDash and legal platform Harvey use DeepSeek, Moonshot AI, and Zhipu for simpler tasks, citing better performance-to-cost ratios versus US-only alternatives.
  - **Beijing mulling new curbs on domestic AI model access:** Officials discussed requiring labs to delay public releases and restrict foreign user access to models deemed to contain sensitive technology, while also eyeing tighter export controls.
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## Chinese AI usage by US firms soared after Mythos restrictions

- **Chinese AI token usage doubled in June after Anthropic's suspension:** OpenRouter data show Chinese models reached 25 trillion tokens in the final week of June, 78% above US model consumption.
  - **GLM-5.2 ranked fifth globally among 500 models in practical benchmarks:** Z.ai's open-source model costs one-twentieth of Anthropic's Claude Mythos and surpassed Google models across 9,000 test tasks.
  - **Anthropic accused Alibaba of the largest known distillation attack:** In June, the firm wrote to US senators demanding action, alleging Alibaba used Claude outputs to develop competing AI models.
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NYT · 7 JUL 2026

## **Alibaba's A.I. Is a Hit, but Hard to Turn Into a Moneymaker**

- **Alibaba shifts flagship AI from open-source to proprietary:** Qwen reached roughly 1 million daily downloads as the world's most-downloaded open-source AI model; Alibaba released three proprietary paid alternatives in April alone.
  - **Lead engineer Lin Junyang and several colleagues quit in March:** Two people familiar with the matter said internal disputes over commercialisation fractured the team behind Alibaba's flagship AI system.
  - **Pentagon and Anthropic separately targeted Alibaba's AI operations:** The US Defence Department placed Alibaba on its military-affiliated blacklist; Anthropic accused it of using ~25,000 fraudulent accounts to harvest ~28.8 million Claude interactions (June 10 Senate letter).
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WSJ · 9 JUL 2026

## **China's Zhipu AI Shares Surge on \$4 Billion Fundraising**

- **Zhipu AI raises fresh capital via accelerated bookbuild secondary Hong Kong share offering:** 19.8m primary H shares priced at HK\$1,588–1,698, with proceeds earmarked for R&D, cloud computing, business expansion, and potential acquisitions by end of 2027.
  - **Chinese AI fundraising accelerates amid global competition:** DeepSeek secured more than US\$7.4 billion last month at a valuation exceeding US\$50 billion as firms race to rival OpenAI, Anthropic, and Google.
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CAIXIN · 6 JUL 2026

## **Alibaba, ByteDance pull persona chatbots as China tightens AI rules**

- **Alibaba and ByteDance to remove persona chatbot features on July 15:** Qianwen and Doubao notified users they will discontinue services allowing customisable AI character creation, Caixin reports.
  - **Withdrawal coincides with enforcement of new Chinese rules on human-like AI:** Beijing's regulations governing persona-based AI services take effect on the same date as the platforms' service removal.
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NIKKEI · 6 JUL 2026

## **China's leading chatbots to ditch AI personas as Beijing tightens rules**

- **Major Chinese platforms dropping AI persona features ahead of July 15 rules:** Alibaba, ByteDance, Tencent and NetEase are disabling customised chatbot personas as new CAC regulations on anthropomorphic AI take effect.
  - **New rules prohibit virtual intimate relationships for minors and require parental consent for under-14s:** Under the CAC's broader four-month Qinglang crackdown launched in April, Shanghai took down ~3,500 noncompliant AI products; nationally more than 14,000 AI products have been removed.
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## China Says It Has Found Security Vulnerabilities in Anthropic's Claude Code

- **China's cybersecurity database flags Claude Code backdoor:** China's National Vulnerability DataBase said several versions released April to June can send user location and identity to remote servers without user consent, advising uninstallation or update.
  - **Anthropic said the monitoring code was an anti-distillation experiment:** An employee posted on X that the mechanism, started in March, targeted unauthorized resellers and model distillation by Chinese labs.
  - **Alibaba banned employee use of Claude Code from this Friday:** The ban follows Anthropic accusations since February that Alibaba and other Chinese AI labs illicitly distilled its models.
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## AI, science and the risks in China's reliance on imported precision equipment

- **China spent nearly \$17 billion on instrument imports in 2024:** More than three-quarters of major research equipment came from abroad, including 83 per cent of mass spectrometers and chromatographs, per industry estimates.
  - **Import reliance starves China's AI for science of quality data:** Weinan E of Peking University told a Shanghai conference that precision instrument gaps leave AI research "like cooking without rice" for lack of first-hand experimental data.
  - **US tightened export controls on mass spectrometry and flow cytometers in January:** Commerce Department cited risks that such instruments generate biological data suitable for AI-assisted weapons design, further restricting Chinese access.
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## Nobel-Winning U.S. Chemist Will Move to China to Lead A.I. Institute

- **2025 Nobel laureate Omar Yaghi leaves Berkeley for Tsinghua:** The chemist will head a new AI-focused materials research institute at Tsinghua, which described his move as an opportunity to do science "with more energy, more intensity, and more ambition."
  - **China outperforms the US in top chemistry papers, analyst says:** An AAAS budget analyst cited surging Chinese science investment, while 40% of US science Nobels in physics, chemistry, and medicine this century went to foreign-born researchers.
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## China's semiconductor industry is racing to catch the West's

- **Chinese chipmakers set to dominate home AI chip spending:** Domestic firms are projected to take four-fifths of China's AI chip spending this year, per Bernstein.
  - **China blocked from advanced chip production by EUV gap:** Domestic foundries cannot reliably mass-produce sub-7nm chips; a homegrown EUV lithography machine remains an estimated decade away.
  - **Huawei's top chip delivers only 80% of Nvidia's H100 performance:** China held one-seventh of US compute capacity at end-2025, with domestic chips mostly limited to inference, not frontier AI training.
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## Why CPUs are now at the center of the AI race

- **Data center CPU market forecast to reach \$220 billion by 2030:** Bernstein Research projects growth from \$37 billion in 2025, fuelled by rising demand from AI inference and agentic workloads.
  - **CPU share in AI data centres rising toward parity with GPUs:** Sequential, latency-sensitive agentic AI tasks favour CPUs, prompting Nvidia, Arm and Qualcomm to enter the market, Nikkei Asia reports.
  - **China's domestic CPU makers expanding but all remain loss-making:** CPUs face lighter US export controls than GPUs, keeping the Chinese market open to Intel, AMD and Qualcomm, Nikkei Asia reports.
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## Why China is finally letting AI firms buy the Nvidia H200

- **Beijing to allow selected firms to import limited H200 units:** China plans to permit Alibaba, ByteDance, and DeepSeek to purchase capped quantities of Nvidia's H200 GPU, with a reported ceiling of under 200,000 units in total.
  - **Quota-based approval aims to bridge compute gap while protecting domestic chip development:** Analysts cited by SCMP describe the measure as a temporary fix to ease AI training bottlenecks, preserving market space for Chinese chipmakers rather than reopening broad access to Nvidia hardware.
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## Chinese Firms Leave Nvidia for Local AI Suppliers, Survey Shows

- **Chinese AI accelerator budgets shifting 46% to domestic chips:** A survey of 60 executives shows domestic allocation rising from 30% today, with Huawei and Hygon named as key beneficiaries.
  - **Beijing's \$294 billion data centre plan mandates 80% domestic technology:** The five-year AI infrastructure programme targets sectors from healthcare to city management, according to Bloomberg.
  - **Bottleneck shifting from compute to high-bandwidth memory supply:** A global memory chip shortage is the new constraint on Chinese AI firms, with ChangXin Memory poised to benefit, the report finds.
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## Apple interest thrusts China's CXMT into memory chip spotlight

- **Apple testing CXMT chips for China-sold devices:** US tech companies are lobbying Washington to permit broader use while Apple evaluates CXMT's DRAM chips, the FT reports.
  - **CXMT Q1 profit reverses decade-long losses:** The company plans a Rmb29.5bn IPO; analysts expect a valuation of up to Rmb3tn - roughly 2x Hefei's annual GDP (~Rmb1.5tn).
  - **EUV export restrictions hamper CXMT's HBM ambitions:** Barred from ASML's cutting-edge EUV machines, CXMT faces low yield rates and higher costs in its high-bandwidth memory push, analysts say.
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## **Secretive China Chipmaker Is Built to Dodge U.S. Curbs**

- **CXMT's \$4.3 billion IPO follows seven-fold H1 revenue growth:** China's largest listing of 2026 will fund a plan to double wafer output to over 300,000 units a month by year-end, Bloomberg reports.
  - **Three undisclosed firms span CXMT's full chipmaking supply chain:** Bloomberg identified Jixin Tuofang, TSFC Semiconductors, and Xyxtech covering chip design, manufacturing, testing, and packaging - none appearing in CXMT's IPO prospectus.
  - **CXMT targets HBM3E mass production by 2027 using refurbished ASML machines:** The company circumvents US export controls with lower-end DUV lithography, trailing SK Hynix and Samsung - which are only entering HBM4 mass production in 2026.
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## **China may struggle to fund Xi Jinping's tech ambitions - The Economist**

- **China's public equity fundraising doubled to ~\$32bn in 2026:** Regulators re-opened the STAR market to loss-making tech startups after a two-year freeze, driving a broad IPO surge.
  - **State tech fund capital surged 20-fold to 230bn yuan:** Over 9,500 equity funds also launched in January to May 2026 - half again the year-earlier pace.
  - **State-directed investing may hinder China's tech ambitions, the article argues:** Government mandates make professional investors more cautious, leaving inefficient state banks as the primary source of frontier-technology capital.
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## **U.S.-China scientific decoupling: the hidden costs of geopolitical rivalry**

- **US lawmakers propose barring federal funding for collaborations with blacklisted Chinese entities:** The SIRA Act would prohibit American researchers from using federal grants for any partnership with Chinese scientists on Washington's blacklists.
  - **Chinese biotech out-licensed a record 157 molecules to US buyers in 2025:** American pharmaceutical giants including Merck and Bristol Myers Squibb were among the acquirers, up from 94 molecules in 2024.
  - **NIH's Chinese researcher pool shrank as US national-security vetting intensified:** The institute once hosted around 2,000 Chinese postdoctoral fellows and visiting scholars, with numbers declining steadily over eight years.
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## **China's Ascent in Biotech Rousts U.S. Venture Capitalists to Adapt**

- **Top drugmakers' Chinese deals tripled to \$68.7 billion in 2025:** Major drugmakers struck 19 large-upfront deals in China versus 20 in the U.S. last year, nearing parity, according to DealForma.
  - **Chinese biotechs raised 15% of global biotech VC in H1 2026:** Up from 9% in all of 2025, while the U.S. share fell from 64% to 58%, according to Locust Walk.
  - **FDA proposed a pilot in June to speed early human drug studies:** U.S. venture investors are also funding AI startups to improve clinical trial recruitment in community hospitals, the article reports.
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WSJ · 10 JUL 2026

## U.S. Biotechs Are Keeping More Secrets to Beat Copycats in China

- **Chinese fast-follower drugs rose 15-fold in ten years:** Chinese biotechs run clinical trials twice as fast at half the US cost, per Norstell data cited in the article.
  - **US biotechs forgoing VC pitches to protect proprietary science:** Smaller companies are avoiding investor presentations and conferences to prevent China-based rivals from replicating their research before reaching market, WSJ reports.
  - **Congress introduced legislation to screen US investments in Chinese drugmakers:** The bill would require Treasury Department review, while some lawmakers also seek to bar FDA from accepting clinical-trial data from China.
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WSJ · 8 JUL 2026

## Sino Biopharm Strikes Drug Licensing Deal With AstraZeneca, Deepens GSK Partnership

- **AstraZeneca licenses ex-China rights to TQC3721 for up to \$1.9bn:** Sino Biopharmaceutical will receive \$200 million upfront plus milestone payments and tiered royalties on net sales, according to an exchange filing.
  - **Sino Biopharmaceutical's second 2026 outlicensing deal follows a February 2026 Sanofi pact:** The agreement reflects a broader wave of multinational firms licensing innovative medicines from Chinese drugmakers, the article reports.
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FT · 10 JUL 2026

## China claims rocket first as it catches booster in floating sea net

- **Long March 10B maiden flight recovered its first-stage booster:** State-owned CALT used a hook-and-net sea catch, making China only the second country to achieve orbital rocket booster recovery.
  - **Analyst sees reusable rockets easing China's satellite launch bottleneck:** Blaine Curcio of Orbital Gateway Consulting said the technology could enable a significant ramp-up in launches within a few years.
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NYT · 10 JUL 2026

## With a Successful Rocket Launch, China Clears a Key Hurdle in Race With SpaceX

- **CASC recovered Long March 10B's first stage using offshore platform nets:** China's state aerospace corporation described it as the world's first net-based launch vehicle recovery, occurring six minutes after stage separation.
  - **China's two satellite constellations have launched just over 400 satellites combined:** Both relied on single-use rockets until Friday's test, against SpaceX's fleet of over 10,000 Starlink satellites in orbit.
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CAIXIN · 8 JUL 2026

## **Chinese Lenders Chase Commercial-Space Boom**

- **Chinese banks step up credit for commercial space sector:** Lenders are increasing financing following a July 5 Long March-8A rocket launch that deployed 20 satellites for the Qianfan constellation, the article reports.
  - **Qianfan reaches 218 satellites as it trails Starlink:** China's low-Earth-orbit internet network remains far behind Elon Musk's Starlink, which holds a first-mover advantage with more than 10,000 satellites in orbit.
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NYT · 10 JUL 2026

## **In Deep Space, China Meets Earth's 'Amazing' Quasi-Moon**

- **China's Tianwen-2 probe arrived at quasi-moon asteroid Kamo'oalewa after a 400-day voyage:** The spacecraft closed to within 12.5 miles of the 60-foot rock and captured its first detailed surface image.
  - **Successful sampling would make China the third country to return asteroid material to Earth:** Tianwen-2 is scheduled to extract rock from the asteroid and deliver it by late 2027, following Japan and the United States.
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CAIXIN · 6 JUL 2026

## **China Sets Safety Requirements for Assisted Driving**

- **MIIT issued a national driver assistance safety standard:** Effective January 2027, it covers three system types - single-lane, multi-lane, and navigation-assisted - with rules on data recording and human-machine interaction.
  - **Regulation targets large-scale smart vehicle commercialization:** MIIT framed the standard as regulatory groundwork for assisted driving deployment, with requirements spanning manufacturer safety guarantees, user instructions, and training protocols.
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NIKKEI · 7 JUL 2026

## **China overtakes U.S. in fintech patent filings to seize global lead**

- **China claimed 38% of global fintech patents over the past decade:** Filings surged 10-fold from the prior decade, when China had ranked third behind the US and South Korea.
- **Chinese companies swept the top five fintech patent rankings:** ICBC led globally with 3,198 filings, with state-owned banks driving development alongside tech firms such as Tencent.

## 3b. Geoeconomics – trade, finance & industrial policy

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NIKKEI · 9 JUL 2026

### China automakers shift gears to exports as domestic demand weakens

- **Domestic auto sales fell 21% as exports surged 65% in H1 2026:** NEVs hit a record 46% share of overseas shipments, up 12 percentage points year-on-year, according to CAAM data.
  - **Multiple markets tighten tariffs and impose local-assembly requirements:** Turkey suspended BYD's tax exemption, Mexico applied a 50% levy, and Southeast Asian governments now require local production.
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CAIXIN · 9 JUL 2026

### China's monthly auto exports top 1 million vehicles for first time

- **China's auto exports exceeded 1 million monthly units for the first time:** June shipments reached 1.04 million vehicles, up 75.1% year-on-year, according to the China Association of Automobile Manufacturers.
  - **New-energy vehicles drove half the record total, surging 160% year-on-year:** NEV shipments hit 523,000 units in June, as automakers accelerated overseas sales amid intensifying domestic market pressure.
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NIKKEI · 6 JUL 2026

### The unstoppable rise of China-made cars in Europe

- **Chinese brands overtook Japanese rivals in Western European car sales:** Despite EU provisional BEV tariffs from July 5 2024 (definitive tariffs adopted 30 October 2024), Chinese carmakers sold 6% more vehicles than Japanese rivals in May 2026, with an analyst projecting EU sales will surpass one million by 2027.
  - **Chinese manufacturers are localising production to circumvent EU tariffs:** BYD and Leapmotor plan factories in Hungary and Spain by end-2026, while SAIC and Polestar target European assembly in 2028.
  - **German automakers report weak demand, overcapacity, and falling profits:** Volkswagen has up to 100,000 jobs worldwide reportedly at risk, with four German plants facing potential closure, the article reports.
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WSJ · 7 JUL 2026

### Finland Shows the Trust Barrier Facing Chinese EV Makers in the West

- **Finnish buyers ask whether Chinese EVs spy on them or fund the CCP:** A Helsinki dealer reports consumers raise “kill switch” fears and governance concerns that price advantages alone cannot overcome.
  - **BYD launched trial production at a Hungarian plant to sell tariff-exempt, EU-made cars by year-end:** The facility is BYD's direct response to EU import duties on Chinese EVs in place since 2024.
  - **BYD's pan-European BEV registrations rose 269% in 2025 vs 2024; BYD first outsold Tesla in Europe BEV in April 2025:** Finland's 47.8% EV share of new car sales in H1 2026 is driven largely by corporate fleet leases rather than private purchases, dealers report.
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## US hearing weighs higher tariffs over alleged forced labour, targeting China

- **USTR held three-day Section 301 hearings on proposed forced-labour tariffs:** The investigation targets imports from 60 economies and could impose duties of 10-12.5% on goods linked to supply chains using forced labour.
  - **Business groups and labour advocates clashed over the tariff proposal's effectiveness:** The Forced Labor Working Group coalition (incl. NRF) called the measure “legally unwarranted, and counterproductive,” while China Labor Watch urged higher China-specific rates, arguing manufacturers can absorb 12.5% without raising prices.
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## How Europe's rush for Chinese air conditioners exposes the gap in Brussels' trade policy

- **European demand for Chinese AC surges amid Brussels trade tightening:** Europeans are queuing for portable units even as Brussels introduces new taxes on small packages - 90 per cent from China.
  - **EU-China trade deficit hit €98bn in Q1 2026:** The figure was the highest since 2022, with electrical equipment and machinery among top import categories, SCMP reports.
  - **Both sides agreed to three months of trade talks:** Talks follow EU concerns over “China Shock 2.0” - EVs, batteries, and solar dominance - amid a €360 billion annual goods deficit.
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## Europe's Heat Wave Is Bright Spot for China's Portable AC Makers

- **Europe's heat wave drives 20%-plus AC export growth for Midea:** Citigroup forecasts over 20% year-on-year Q2 growth after the firm pre-stocked two to three times last year's inventory.
  - **European AC penetration at just 20%, per IEA data:** Regulatory delays on wall-mounted unit installation are steering demand toward affordable Chinese portable models, the article reports.
  - **Commodity costs and China demand weakness cap earnings upside:** Rising aluminium and copper prices are squeezing margins while European gains are unlikely to offset China's dominance as the largest revenue market, Bloomberg Intelligence warns.
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## China now has 7 of world's 10 biggest banks as Beijing's financial ambitions grow

- **Seven of the world's top ten banks are now Chinese:** The Banker's 2026 ranking shows Chinese lenders holding \$54.8 trillion in assets, more than double US banks' \$25 trillion.
  - **Chinese bank expansion is explicitly linked to yuan internationalisation:** The Banker's editor-in-chief cited overseas operations and yuan promotion as increasingly important drivers of future growth and profitability.
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## **PBOC signals comfort with yuan gains as fixing set below 6.8**

- **PBOC set yuan fixing below 6.80 per dollar for first time since 2023:** The 6.7989 fixing on Friday signals policymakers' comfort with continued currency appreciation, according to Bloomberg.
  - **Resilient exports and recovery expectations are driving yuan strength:** An FX strategist at Malayan Banking said the PBOC is easing control as the pace of appreciation has slowed.
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## **China gives its investors more access to bonds in Hong Kong**

- **Bond Connect annual quota raised from Rmb500bn to Rmb800bn:** PBoC governor Pan Gongsheng announced the increase on Tuesday, also expanding the scheme to HK dollar bonds, RMB-denominated bond products, and Macau-issued paper.
  - **PBoC to allocate more foreign reserves to Hong Kong:** The move accompanies a new HKEx-backed renminbi bond trading platform and a 2.5x-expanded HKMA renminbi lending facility (Rmb200bn to Rmb500bn).
  - **Low onshore yields driving mainland institutional demand offshore:** The 10-year Chinese government bond yields 1.7%, leaving mainland institutional investors seeking higher-yielding offshore products, the FT reports.
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## **China Regulator Is Keeping a Close Eye on Susquehanna Case**

- **CSRC acknowledged US lawsuit alleging Chinese official involvement in insider trades:** China's securities regulator said it would "carry out relevant work" but stopped short of opening a domestic probe into Susquehanna's claims.
  - **Traders netted over \$100 million from put options on Futu and Up Fintech ahead of May 22 crackdown:** Susquehanna alleges material non-public information - possibly from Chinese regulators or broker employees - enabled the bets, with Citadel Securities separately reporting \$28 million in losses from the same scheme.
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## **China buys 15 tons of gold in June as central banks build up reserves**

- **PBOC's June gold purchase of 15 tons is a 32-month high:** The buy extends a record 20-month consecutive streak; 2026 purchases already exceed 40 tons, topping 2025's full-year total of 26 tons.
  - **Emerging-market central banks buy gold while institutional investors sell:** Rising US rates drive fund outflows from gold, while central banks cite reserve diversification and geopolitical hedging as structural motivations, the World Gold Council reports.
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## **Chinese companies use rare earths ban to squeeze out foreign rivals**

- **China's yttrium oxide controls create a dramatic domestic price gap:** Yttrium oxide trades at \$7.88 per kg inside China versus \$1,175 per kg in Europe, according to commodity data provider Baiinfo.
  - **Chinese end-product makers are replacing Japanese material suppliers:** Companies that previously sourced yttrium and zirconia-based materials from Japanese processors are switching to domestic alternatives, which analysts describe as a “historic opportunity.”
  - **Chinese rare earth producers are reaching parity with Japanese rivals:** Trivium China's Cory Combs says export controls raise Japanese input costs while Chinese competitors - who have been catching up for years - stand to benefit directly.
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## **China's detention of 2 Japanese highlights risks from whistleblower program**

- **China extended whistleblower rewards to cover critical mineral export violations:** New legislation on 24 June added illegal rare-earth and rare-metal exports to an existing reporting incentive scheme, an expert on Chinese law told Nikkei.
  - **Fuji Electric detentions signal zero tolerance for circumvention tactics:** Beijing is targeting product-form alteration and third-country routing even where these do not formally breach export permits, experts told Nikkei.
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## **China's CATL secures safety permit to restart flagship lithium mine**

- **CATL obtains safety permit to restart Jianxiawo lithium mine:** The maker secured the permit on June 29, valid until February 2028, ending a nearly year-long suspension.
  - **Jianxiawo suspension triggered a surge in lithium prices and stocks:** The halt also forced CATL to source lithium ore from external suppliers, Reuters reported in October.
  - **Jianxiawo accounts for 3% of 2025 global lithium carbonate output:** The mine has annual capacity equivalent to 46,000 metric tons, according to Australian government data.
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## **China's next soft-power export could be beauty**

- **C-beauty exports to ASEAN more than doubled over five years:** Chinese cosmetics and personal-care brands have expanded aggressively into Southeast Asia, driven by domestic market saturation, according to BMI/Fitch Solutions data.
  - **Joy Group's international sales surged 10-fold to \$87 million in 2025:** The Shanghai-based firm opened its first overseas stores in Singapore, with three of its top five overseas markets now in Southeast Asia.
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## **Chinese brands tear up playbook for World Cup sponsorship**

- **Chinese FIFA sponsors fell from seven to three since 2018:** Lenovo, Mengniu Dairy, and Hisense invested a combined \$500 million-plus at this World Cup - down 64% from 2022, according to Hua Chuang Securities.
  - **China remains second-largest World Cup backer despite the pullback:** The three remaining Chinese sponsors still trail only the U.S. in total official FIFA sponsorship spending, the article reports.
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## **Southeast Asia at risk of steel capacity glut, Worldsteel chief warns**

- **Worldsteel warns of emerging steel supply glut in Southeast Asia:** Redirected Chinese exports and expanding local capacity are creating surplus conditions, director general Edwin Basson told Nikkei.
  - **Chinese semi-finished steel exports to Southeast Asia rose 300% in 2025:** An OECD report cited by Basson found the surge supplies downstream production that is subsequently re-exported to OECD markets.
  - **Basson cautioned Western protectionism risks long-term competitiveness losses:** Controlled-access markets historically lose efficiency compared to intensely competitive lower-priced markets, the director general warned.
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## **Saudi oil roars back despite Hormuz shipping slump as tankers brave Iran threats**

- **Saudi crude exports rebound to 34 million barrels since the June 17 ceasefire:** IMF PortWatch recorded 25 AIS-visible vessel crossings on July 4 alone (single-day count); the post-ceasefire commercial average is 27 vessels per day.
  - **War-risk insurance at eight times pre-conflict rates keeps private tankers away:** State-backed and sovereign-insured fleets now carry most Gulf crude, while four vessels reversed course on July 4 after IRGC radio warnings.
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## **U.S.-sanctioned 'teapot' refiner Hengli leads China petrochem profit spike**

- **US-sanctioned Hengli Petrochemical posts 2.4x profit surge in H1:** The Shanghai-listed "teapot" refiner's net profit reached 7.2 billion yuan, driven by higher petrochemical prices amid Strait of Hormuz shipping disruptions.
  - **Sector-wide earnings jump linked to US-Iran war price effects:** Befar Group and Wanhua Chemical reported H1 profits tripling and rising 60-70% respectively, citing global petrochemical price spikes from Middle East conflict.
  - **Helium supplier Guanggang Gases profits rose 87-138% on semiconductor supply squeeze:** The company shifted procurement toward North American and European sources after global helium supply tightened, prioritising domestic chip-industry clients.
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## China buys more US soybeans as key agricultural trade ramps up

- **State-owned Cofco booked at least six US soybean cargoes:** Purchases are for September-October loading; Chinese buyers had already committed to 200,000 tons, per the USDA.
  - **White House says China pledged \$17 billion in annual farm goods:** Post-summit commitment includes 25 million tons of soybeans yearly through 2028; Beijing has not confirmed any figures.
  - **US and China targeting agricultural tariff reductions:** China's Ministry of Commerce said both sides are working to roll back duties on some farm products to preserve a broader trade truce struck last year.
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## China may struggle to fund Xi Jinping's tech dreams

- **China raised \$32bn in tech IPOs in 2026:** Figures doubled 2025 levels as regulators fast-tracked listings, with Unitree cleared in 100 days rather than the previous year-long wait.
  - **State conditions on new tech funds may limit returns:** Bank-backed investors favour government-recognised firms over early-stage startups, risking inefficient allocation, according to Gavekal research cited in the article.
  - **Leadership endorsements drove retail rotation from staples into tech:** Consumer staples fell 15% while tech rose 20% this year, complicating regulators' aim of a gradual "slow bull" market.
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## Octopus Energy Looks to Deepen China Ties Amid U.K. Political Uncertainty

- **Octopus Energy deepening China ties despite U.K. political uncertainty:** CEO Greg Jackson told Caixin that China leads in clean energy and electrification technologies and the firm will expand its China partnerships.
  - **Two active China-linked ventures predate the expansion push:** Octopus operates a China power trading joint venture with PCG Power and a U.K. truck battery-swapping network with CATL.
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## Why Peru wants to shift its relationship with China beyond raw mineral supplies

- **Peru seeks manufacturing FDI from China to reduce raw-material export dependency:** Ambassador Vasquez told a Beijing forum that copper, iron, and fishmeal account for over 90% of Peruvian exports to China.
- **Lima approved a special economic zones framework to attract Chinese manufacturing:** The government is offering tax incentives for value-added industries linked to Peru's resource base, including battery production.
- **Peruvian court ordered state oversight of Cosco-run Chancay port last week:** The ruling reversed a January decision and came amid US pressure on Lima to reduce Chinese influence over the facility.

## 4. Foreign policy and 'Global China'

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BLOOMBERG · 7 JUL 2026

### China's ICBM tests point to new normal rattling the Pacific

- **China's first-ever Pacific SLBM test demonstrated its sea-based nuclear leg:** Monday's submarine-launched ballistic missile - China's second Pacific ballistic missile test since 1980 - completed a visible demonstration of the nuclear triad, according to Bloomberg.
  - **Regional governments criticised the test and accelerated submarine programmes:** Australia, New Zealand, and the Philippines condemned the launch, while Japan, South Korea, and Australia are all pursuing nuclear-powered submarines to track Chinese ballistic missile subs.
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NYT · 7 JUL 2026

### Why China Fired a Long-Range Missile Into the Pacific

- **China conducted its first-ever Pacific submarine-launched ballistic missile test:** The missile flew over 4,300 miles from Chinese coastal waters, landing northeast of the Solomon Islands - only China's second Pacific ballistic missile test since 1980, the New York Times reports.
  - **Test reflects China's drive to close its sea-based nuclear gap:** Experts say more Pacific tests are likely as Beijing races to match U.S. and Russian submarine nuclear standards and complete a full nuclear triad.
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SCMP · 8 JUL 2026

### What does China's submarine missile test mean for its nuclear triad expansion?

- **SCMP identifies the missile as JL-3, marking a new phase of PLA undersea deterrence:** The PLA fired what analysts believe was a JL-3 missile into the Western Pacific, with advance notification given to Australia, Japan, and New Zealand.
  - **Analysts describe the test as strategic signalling rather than technical development:** According to Carnegie Endowment's Zhao Tong, the launch marked China entering "a new phase" of undersea nuclear capability, prompting concern from the US, Japan, and Australia.
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NYT · 6 JUL 2026

### China Tests Long-Range Ballistic Missile in the Pacific, Angering Neighbors

- **China test-fired a submarine-launched ICBM into the Pacific:** Xinhua confirmed the Monday launch from a nuclear-powered submarine, with a mock warhead landing "accurately in the designated area."
  - **Australia, New Zealand and Japan publicly condemned the launch:** Foreign ministers from all three countries cited the test as part of China's rapid and non-transparent military buildup, calling it destabilising to the region.
  - **Scholar assesses test as marking a new era of Chinese ICBM launches:** Jeffrey Lewis of Middlebury College said Beijing appears willing to absorb the political costs of more frequent testing, likely including the new submarine-launched JL-3 missile.
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## **Chinese Nuclear Submarine Test-Launches Long-Range Missile**

- **China fired a submarine-launched ballistic missile into the South Pacific:** Beijing called it routine annual training not targeting any country; analysts said the weapon was likely a nuclear-capable JL-2 or JL-3.
  - **Australia and Japan condemned the launch as regionally destabilizing:** Canberra cited China's "rapid military buildup lacking transparency," while Tokyo raised "serious concern" in a joint cabinet statement.
  - **Test ends China's restraint on Pacific-range submarine missile launches:** Analyst Tianran Xu called the South Pacific trajectory - departing from prior desert testing norms - "a show of strength or signaling."
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## **China's SLBM Test Underscores the Importance of a Ballistic Missile Launch Notification Agreement**

- **China fired its first open-water SLBM on July 6:** The JL-2 or JL-3 flew 7,300 km from the South China Sea, likely crossing Philippine airspace, to the South Pacific.
  - **CSIS analysts link the test to four political objectives:** These include countering RIMPAC, signaling resolve after Australia's Fiji defence pact, projecting Sino-Russian alignment, and validating JL-3 hardware.
  - **China's ad hoc missile notifications bypass the HCOC:** The PLA gave the US and Japan only hours of advance notice, a practice five countries condemned after China's 2024 ICBM test.
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## **What did China's missile test have to do with the Marco Polo bridge incident?**

- **CASC linked the SLBM test to the Marco Polo Bridge Incident on Weibo:** Its graphic paired wartime resistance imagery with the July 6 missile launch under a national rejuvenation slogan.
  - **State media kept distance from anniversary links, the article argues:** Online nationalist commentary instead connected the timing, amplifying the CCP's narrative of China's rise from historical humiliation.
  - **Liaoning's September 2024 transit near Japan coincided with the Mukden Incident anniversary:** State media framed the passage as routine training; online nationalists treated the timing as proof of China's military edge over Japan.
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## **US says China gave only hours' warning before Pacific submarine missile launch**

- **US faults China for hours-only notice of Pacific missile test:** Washington said Beijing's notification fell short of P5 standards and lacked key details, calling the build-up "rapid and opaque".
  - **Beijing rejected US criticism, calling the test a routine exercise:** China's embassy said it notified relevant countries in advance, describing the move as evidence of military openness and transparency.
  - **Launch marks progress toward China's fully operational nuclear triad:** The July 6 test - carrying a dummy warhead - follows China's first publicly disclosed Pacific ballistic missile launch in 2024.
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## **China Cites Trump Remarks in Rare Criticism of U.S. Taiwan Envoy**

- **China's Taiwan Affairs Office publicly attacked the top US diplomat in Taiwan:** Spokesperson Chen Binhua accused AIT director Raymond Greene of intervening in Taiwan's domestic politics by urging a defense budget vote and drone buildout.
  - **Beijing cited Trump's own words to argue Greene contradicted US policy:** China quoted Trump's post-summit remarks downplaying arms sales and independence commitments to frame Greene's statements as destabilising cross-strait relations.
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## **China Raises Pressure on Taiwan With Expanded Coast Guard Patrols - NYT**

- **China Coast Guard declared "law-enforcement patrols" east of Taiwan:** Two ships operated up to 140 miles off the island's east coast, explicitly asserting Chinese jurisdiction over surrounding Pacific waters.
  - **One commercial vessel complied with Chinese coast guard crew information demands:** A Singapore-flagged carrier supplied crew data to CCG officers by radio - the first publicly confirmed case of commercial compliance, AFP reported.
  - **China's June patrols came after Japan-Philippines EEZ negotiations that Beijing rejected:** The US, UK, France and Germany issued statements last month criticising coast guard operations in those same waters.
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## **Taiwan Believes Japan Will Help Defend Against China**

- **Taiwan survey finds cross-party majority views Japan positively:** An April 2026 poll of 1,195 Taiwanese voters found Japan rated more favorably than the US, even among pro-Beijing KMT supporters.
  - **Takaichi approval strongly predicts expectation of Japanese military aid:** Among respondents with positive Takaichi views, 64% expect Japan to intervene in a Taiwan conflict, against 20% of those with negative views, the authors report.
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## **Bookseller died 'in line of duty' resisting Xi Jinping's rule**

- **Hong Kong bookseller Lam Wing-kee died in Taipei on July 2:** The former Causeway Bay Books manager had been detained by Chinese authorities in 2015 before fleeing to Taiwan in 2019, according to Taiwanese media.
  - **New ethnic unity law holds diaspora legally liable for speech abroad:** Article 63 stipulates individuals and organisations outside China are accountable for acts deemed to undermine ethnic unity or incite ethnic division.
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## **Assault on Japan journalist may have link to China unity law: Taiwan VP**

- **Taiwan VP links journalist assault to China's ethnic unity law:** Hsiao Bi-khim said Beijing's new law could become a tool for suppressing critics of China beyond its borders.
  - **Hong Kong suspect arrested after punching Japanese journalist in Taiwan:** Taiwan's Mainland Affairs Council called it a possible first transnational repression case under China's newly enacted ethnic unity law.
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## **Tibetan activists chain themselves to UN gates after fatal self-immolation**

- **Three Tibetan protesters arrested at UN gates in New York:** Police detained them after they blocked traffic, following activist Lobsang Palden's fatal self-immolation at the same site the previous week.
  - **China's ethnic unity law extends legal liability to diaspora:** The legislation, which took effect last week, makes anyone abroad accountable for "undermining ethnic unity" and mandates Mandarin instruction in schools.
  - **US and EU flag risks of the law's extraterritorial scope:** Human rights groups warn Beijing could use the legislation to target diaspora activists and seek their extradition.
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## **Beijing slams Manila's South China Sea claims ahead of 2016 Hague anniversary**

- **China's CIMA releases third South China Sea legal report in a week:** The 62-page document, coinciding with the 10th anniversary of the 2016 Hague ruling, dismissed Philippine claims to Scarborough Shoal and the Spratlys as "devoid of historical and legal foundation".
  - **Report argues Philippines' colonial-era treaties excluded both disputed features:** CIMA said the 1898, 1900, and 1930 treaties defining Philippine territory at independence did not encompass Scarborough Shoal or the Spratly Islands.
  - **CIMA accused Philippines of coastguard provocations and blocking a code of conduct:** The report also blamed Manila for introducing "unwelcome external factors" into the dispute - an apparent reference to the United States, Japan, and Australia.
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## **Beijing's acts dilute impact of South China Sea award, Manila's lawyer says**

- **SCS award legally intact but practically undermined, lawyer argues:** Reichler told Nikkei that China's non-compliance has diminished the ruling's on-water effectiveness while its binding legal status on Beijing remains unchanged ten years on.
  - **Duterte's bilateral pivot squandered a post-ruling coalition opportunity:** Reichler said Manila "lost the opportunity" to build a coalition of South China Sea coastal states that could have more effectively pressured Beijing.
  - **Lawyer prescribes multilateral alliance using legal and diplomatic pressure:** Changing Beijing's South China Sea behavior requires a "widespread and deep" coalition - including Japan, Australia, and India - not military confrontation, Reichler argued.
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## **Philippines looks to space for bird's-eye view of South China Sea threats**

- **Philippines plans military space centre by 2028 to boost South China Sea ISR:** Armed Forces chief General Brawner announced the initiative, presented to President Marcos, to enhance surveillance, communications, and command-and-control capabilities.
  - **Sovereign satellite capability seen as key to operational independence:** Analysts note dedicated satellites would reduce reliance on allied data-sharing arrangements and integrate into the AFP's targeting and response systems.
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## **China Courts Nordic Countries as Trade Frictions With the EU Mount**

- **Wang Yi completed a rare high-level Nordic tour:** The July 2-7 visits to Denmark, Sweden, Finland and Norway marked China's most senior diplomatic engagement with the region in more than a decade, Caixin reports.
  - **Trip aimed to ease EU trade pressure and stabilize Ukraine-affected ties:** The EU is considering protective measures against China over a widening trade deficit, according to the article.
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## **No limits? Testing the China-Russia relationship**

- **Russia's growing China dependence has shifted the bilateral balance decisively:** Beijing has become Moscow's primary trading partner and economic lifeline for technology and manufactured goods since Western sanctions escalated, the analysts say.
  - **Neither capital wants a formal alliance, as deep mistrust limits partnership depth:** Competing interests and a desire to preserve strategic autonomy prevent binding treaty ties, with historical Sino-Soviet rivalry still shaping both sides' calculations, according to the speakers.
  - **Trump's unpredictability complicates Russia's anti-U.S. strategic logic:** Hill argues that erratic U.S. behavior has undermined Moscow's assumption of a stable adversary, potentially forcing both Beijing and Moscow to recalculate their alignment.
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## **China Is Spending Big to Rival India's Buddhist Influence in Asia**

- **China backs \$2 billion Lumbini university expansion:** Chinese state-aligned institutions are financing hotels, research centres and drone assembly programs there, dwarfing India's nearby \$10 million cultural centre.
  - **Beijing uses Buddhist pilgrimages for political influence in Taiwan:** Taiwanese officials say subsidised trips to China correlate with pro-Beijing voting shifts, prompting authorities to tighten scrutiny ahead of November elections.
  - **China's ethnic unity law, effective 1 July, advances Sinicization:** The law prioritises Mandarin and a single national identity; a Tibetan man died after self-immolating outside UN headquarters in New York in protest.
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## Indian ambassador to China urges deeper economic ties, touts AIIB as model

- **India's new ambassador calls for expanded bilateral trade and investment:** Vikram Doraiswami urged greater Chinese market access for Indian products and more Chinese investment in India at Beijing's World Peace Forum.
  - **AIIB cited as model for new multilateral economic architecture:** Doraiswami described the bank as one of the "best" examples of India-China cooperation, arguing such institutions can offset resistance to global economic connectivity.
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## Indian security analysts alarmed by Bangladesh-China port deal

- **Bangladesh assigned Mongla Port zone to China's CCECC:** An MOU signed during PM Rahman's June 2026 Beijing visit replaced a 2015 agreement earmarking the 110-acre site for Indian development.
  - **Indian analysts warn of Chinese surveillance systems at Mongla:** Security researchers told Nikkei that CCECC could install maritime and electronic intelligence capabilities at the port, 80km from India's border near the Sundarbans.
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## Fujimori Legacy Shows Limits of Trump's Push Against China in Peru

- **Keiko Fujimori rejects automatic US alignment despite her Washington ties:** Peru's newly elected president called for a "strategically balanced" position, pledging to protect trade links with China.
  - **Chinese investment in Peru totals an estimated \$30 billion:** Beijing displaced the US as Peru's largest trading partner, a shift rooted in Alberto Fujimori's outreach to China during the 1990s.
  - **The Port of Chancay embodies the US-China contest in Peru:** Washington views the \$1.3 billion COSCO-built facility, inaugurated by Xi Jinping in 2024, as a potential Chinese military risk.
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## Don't assume US decline will lead to its fall, warns Chinese scholar

- **Zheng Yongnian warns underestimating the US could prove fatal:** The CUHK-Shenzhen dean argues dollar primacy, military strength, and tech leadership mean no country can currently replace US hegemony.
  - **Pentagon blacklisted Alibaba and Baidu; Beijing imposed counter-restrictions:** Washington cited alleged military ties; China responded by restricting 10 US firms and barring 46 from government contracts.
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## Can China and U.S. find common ground on AI governance in Geneva?

- **Beijing sent a cabinet minister; Washington sent a lower-level official:** China has engaged actively in UN AI governance talks since 2024, while the US envoy called the Geneva forum “a significant overreach” of the UN’s mandate.
  - **Trump's June AI order made frontier model reviews voluntary and cut timelines to 30 days:** Framed around outcompeting China, the approach contrasts with Beijing’s mandatory pre-launch approval regime requiring sign-off from the CAC and MIIT.
  - **Analysts say US deregulation leaves an AI governance gap China can fill:** As US gated models become less available abroad, Chinese open models like DeepSeek and Qwen may become defaults for Global South developers, the article reports.
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## China Frees Pastor Detained in Crackdown on Religion After Trump’s Urging

- **Pastor Jin Mingri freed after 250 days in Chinese custody:** He flew to Los Angeles on 4 July, two months after Trump raised his case with Xi at their Beijing summit.
  - **Eight other Zion Church pastors remain held in China:** One, Franklin Wang Lin, reports losing 30 pounds in custody and faces added fraud charges for accepting church donations.
  - **White House stalling \$14 billion Taiwan arms package approved by Congress:** Trump described it as a “very good negotiating chip” in his May talks with Xi, the article reports.
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## China, Russia and others seek to inflame debate over A.I. data centers

- **Foreign state media posted roughly 700 data-centre items targeting US audiences:** China, Russia and Iran averaged nearly four daily mentions between January and June, according to analysis by influence-tracking firm Alethea.
  - **OpenAI attributed ChatGPT-generated fake local news strips to China-based operators:** The accounts, designed to mimic US local outlets and stoke opposition to data centres, generated little authentic engagement and were removed from X.
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## Opinion: Iran’s Most Favored Strait of Hormuz Nation Is China

- **Iran signals preferential Hormuz transit for China:** Speaking in Beijing, Iran’s ambassador said China and allied nations may receive “special considerations” on Strait of Hormuz transit fees.
  - **The MOU commits Iran to toll-free passage for 60 days only:** The article reports the agreement then empowers Tehran to “define the future administration” of the Strait in dialogue with Oman.
  - **The article argues Iran-China-Russia cooperation is undermining U.S. Strait leverage:** Tehran relies on Beijing for oil and missile support, while Moscow trades arms for Iranian drones, the piece contends.
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## The myth of Chinese birth tourism

- **Birth tourism from China is real but small:** At its 2015 peak, it accounted for less than 0.3% of all US births, the article reports, following the Supreme Court's rejection of Trump's bid to overturn birthright citizenship.
- **Northern Mariana Islands loophole largely closed:** A 2018 spike saw 574 foreign nationals give birth there under visa-free access; visa-free stays were later cut from 45 to 14 days with added vetting.
- **Author rejects the "Chinese government plot" framing:** Beijing explicitly opposes birth tourism, and US security-clearance vetting would in any case exclude children raised in China from sensitive federal roles, the article argues.

## 5. Strategic implications and responses

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## A new risk framework for Chinese technology products and investments

- **Author proposes BIS-led interagency process for Chinese tech risks:** The paper argues the bureau should coordinate government-wide assessments currently scattered across FCC, DOD, CFIUS, and other agencies.
  - **Framework timing tied to planned US-China trade boards:** The author argues a robust internal assessment is needed before negotiations over new bilateral trade and investment institutions begin.
  - **Blunt bans on Chinese tech disrupt U.S. industries:** The paper cites DJI drones and Chinese-linked solar manufacturing as cases where restrictions harmed American businesses and consumers.
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## The U.S. Can't 'Yield Even an Inch' to Xi, Top Democrat Says

- **Democratic senator visits Taiwan to counter Trump's perceived concessions to Beijing:** Duckworth, the first U.S. senator to visit since Trump's May Beijing summit, said Washington must not "yield even an inch" to Xi on Taiwan.
  - **Trump's hold on a \$14 billion arms package has alarmed Taipei:** Trump described the sale as a "negotiating chip" with China, potentially departing from the Six Assurances prohibiting U.S. consultation with Beijing on Taiwan arms sales.
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## 'A massive screw-up': China hardliners take aim at Commerce Department official -- Politico

- **BIS blacklist frozen for eight months - longest pause since 2008:** CSIS found additions averaged every 35 days from 2018 to 2024; the list has had no new entries since October.
  - **Rescinding Biden chip rules left a year-long enforcement gap:** Former officials say thousands of Nvidia Blackwell chips may have reached China before BIS issued replacement guidance in May 2026.
  - **Export license processing times doubled since the Biden era:** The Semiconductor Industry Association found members waited an average of 76 days in 2025, up from 38 days in fiscal 2023.
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## **Opinion: The American Economy Isn't as Bad as You Might Think**

- **Authors argue US still leads China and Europe economically:** Sarin and Wang conclude America remains the “cleanest shirt,” citing AI lab dominance, deep capital markets, and immigrant entrepreneurship as durable advantages.
  - **China's property crash and fertility crisis suppress consumer confidence:** Property values have fallen roughly one-third from peak; the fertility rate stands at 1.0 against 1.6-1.7 in the US, Wang reports from a recent visit.
  - **Authors warn US structural advantages face mounting risks:** Immigration restrictions, rule-of-law erosion, and China's rare-earth leverage during tariff retaliation are cited as threats to America's competitive position.
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## **Nato can't be 'naive' about China as it ramps up military might, Rutte claims**

- **Rutte says NATO cannot be naive about China:** He linked China's submarine missile test and Beijing's support for Russia to the interconnection of Indo-Pacific and Euro-Atlantic security.
  - **PLA submarine test prompts Rutte contact with Japanese defence minister:** The first known Chinese submarine-based missile test since 1982 led the NATO secretary general to reach out to Tokyo directly.
  - **NATO Ankara summit targets five per cent GDP defence spending:** Several member states are already investing around four per cent after one year of a 10-year programme, Rutte said.
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## **Why Australia Is Locked in a 'Permanent Contest' With China in the Pacific**

- **Albanese signed security pacts with Fiji and Vanuatu in one week; Solomon Islands was a visit only, no treaty:** Australia finalized bilateral treaties and aid packages with Fiji and Vanuatu during a Pacific diplomatic tour, the article reports.
  - **China's Pacific ballistic missile test coincided with Australia's Fiji security signing:** A Lowy Institute analyst said the launch - Beijing's second in the region - bolstered Canberra's treaty push with island states.
  - **Australia has now formalized alliances with four Pacific states in two years:** Treaties with Nauru, Vanuatu, Papua New Guinea, and Fiji include a new “Ocean of Peace Alliance” open to additional members.
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## Australia and Fiji sign defense pact to counter China influence

- **Australia and Fiji signed a new mutual defense pact:** The Ocean of Peace Alliance commits both nations to deter external threats and marks Fiji's first formal alliance with any country.
  - **China test-fired a Pacific submarine missile on the same day:** Australian Foreign Minister Wong called the test "destabilizing," citing the need for Pacific countries to determine their own futures.
  - **Australia has now concluded Pacific security pacts with five nations since 2022:** The agreements follow Beijing's security deal with the Solomon Islands, which alarmed Canberra and Washington about China's regional foothold.
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## The radar system that Taiwan says tracked the PLA's ballistic missile launch

- **Taiwan's Pave Paws radar detected PLA submarine missile at launch:** The Leshan Station system tracked the South China Sea launch, with US satellites covering the later trajectory, officials said.
  - **Taiwan's NSC chief publicly named the missile as JL-2:** Joseph Wu released a flight map showing the weapon flew over northern Philippines and landed between Nauru and Tonga.
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## Why We Know More About China's Next-Generation Fighters Than America's

- **Open-source images reveal more about PLA next-gen fighters than U.S. counterparts:** Multiple Chinese prototype photos have circulated online, while the U.S. F-47 remains publicly unknown, the authors note.
  - **OSINT resolves capability puzzles but not intention mysteries:** The article argues that knowing China's bomber fleet size does not reveal Beijing's plans - a gap no additional data can close.
  - **China's long-range military assets suggest ambitions beyond a Taiwan contingency:** The authors argue carriers, cruisers, and long-range bombers are better suited to distant power projection than to a cross-strait conflict.
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## China Is Devastating the Last Stronghold of German Industry

- **German industrial output fell 10% since 2022, shedding 10,000 jobs monthly:** Germany's capital goods trade balance with China swung from a €750 million surplus to a €500 million deficit by August 2025, according to Apollo Global Management data.
  - **China's "10,000 Little Giants" scheme funnelled state subsidies into specialist manufacturers:** The initiative explicitly targeted Germany's "hidden champions," with Chinese firms now holding one-third of global machinery production, according to the article.
  - **EU launched record trade cases against Beijing but broader defences remain delayed:** Wider measures discussed at a June Brussels summit will likely take over a year to materialise, the article reports.
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## China could be the US tech hedge

- **China exceeded \$625bn in clean energy investment in 2024:** Per the IEA, cited in the article, China hit its 2030 wind and solar capacity target six years early.
  - **MSCI China-S&P 500 equity correlation has fallen sharply:** The 12-month rolling average now stands at 14%, down from around 70% in 2018-19, the author reports.
  - **US export controls accelerated China's domestic chip self-sufficiency:** Restrictions intended to slow chip access instead incentivised local fabrication capacity and domestic AI model development, the article argues.
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## Volkswagen to Slash Half Its Models as Sales Fall

- **Volkswagen to cut model range by up to half:** The announcement follows a 14.3% Q1 2026 operating profit drop and is framed as a survival measure against Chinese EV competition.
  - **Chinese automakers outsold Japanese brands across the EU in May:** State-backed EV investment has given firms like BYD and Geely a cost and technology advantage over established European carmakers.
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## The Chinese company that could start a trade war with Europe

- **EU opens formal investigation into Nuctech after 2024 office raids:** The Commission is examining whether Chinese state support gave the security scanner firm an unfair advantage in European public tenders across more than two dozen member states.
  - **China ordered Nuctech not to cooperate with EU investigators:** The Ministry of Justice directive - described as unprecedented - is seen by analysts as Beijing testing the limits of European regulatory enforcement.
  - **Chinese state financing of \$1.2 billion backed Nuctech's global rollout:** AidData recorded 66 grant and loan commitments from 2000 to 2024, funding scanner purchases and installations across more than 170 countries.
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## Japan's clothing imports from China hit 31-year low in Southeast Asia shift

- **China's clothing export share to Japan hits 31-year low:** The Japan Textiles Importers Association reported China's share fell to 49.8% last year, down from a 2009 peak of roughly 80%.
  - **Uniqlo supplier Matsuoka builds second Indonesia factory:** Matsuoka targets 74% of production from Southeast Asia and Bangladesh by FY2029, citing rising Chinese labor costs and demographic labor shortages.
  - **Geopolitical risk joins labor costs as stated driver of diversification:** Atsugi plans to raise production outside China from under 5% to 20-30%, citing business continuity concerns.
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## **OpenAI and Google sell AI models to blacklisted China groups**

- **OpenAI and Google sold AI to Pentagon-blacklisted Chinese firms:** Both confirmed supplying Singapore-based subsidiaries of Alibaba, Baidu, and Tencent, which Washington accuses of ties to China's military.
  - **OpenAI suspended Alibaba users after suspected model distillation:** The company flagged concerns to US authorities that developers were using its outputs to train rival AI systems, the FT reports.
  - **US curbs AI chip exports but not AI model access:** Washington has imposed no ban on 1260H-listed Chinese entities using frontier AI software, prompting calls for model-level export controls.
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## **Santander axes top China banker and scraps perks in Asia overhaul**

- **Santander removed its Beijing branch manager and shifted Asia-Pacific CIB focus toward Southeast Asia, Japan, and South Korea:** The overhaul, led by new regional head Alberto Rivero since January, also includes cost cuts and mandatory weekly reporting requirements for bankers.
- **New Asia-Pacific head relocated to Singapore rather than Santander's traditional Hong Kong hub:** The bank plans to name a new China head within weeks and officials said the mainland business would not be deprioritised.

## IV. Chinese Sources

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### Regulatory & policy primary sources

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STATE COUNCIL · 9 JUL 2026

#### China issues action plan for carbon peaking during 15th Five-Year Plan period

- **Carbon intensity target set at 17% reduction from 2025 level by 2030:** The action plan also raises the non-fossil energy share in total consumption to 25% by 2030 as headline benchmarks for the 15th Five-Year Plan period.
  - **Five priority areas of decarbonisation identified:** The plan covers energy-mix optimisation, industrial green transition, sectoral shifts, decarbonisation of buildings and transport, and expansion of ecosystem carbon sinks, backed by improved regulation and market-based pricing.
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STATE COUNCIL · 6 JUL 2026

#### China issues plan to build Beautiful China from 2026 to 2030

- **Beautiful China plan aligns environmental policy with 15th Five-Year Plan:** The State Council document sets ecological improvement objectives to be met by 2030, including achieving the carbon peak on schedule and mainstreaming green production and lifestyles.
  - **Seven task areas cover air, water, soil and ecosystems:** The plan groups measures under seven work areas but does not publish country-wide numerical air- or water-quality targets in the release.
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### Government positions & readouts

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MFA · 9 JUL 2026

#### Foreign Ministry Spokesperson Mao Ning's Regular Press Conference on July 9, 2026

- **Briefing spans DPRK visit, open-source AI push and NATO:** Mao Ning previewed an incoming DPRK delegation, flagged China's open-source AI cooperation with the Global South, and pushed back on NATO characterisations of China.
  - **US defence and Tibet framings rejected:** She dismissed US commentary on Chinese defence capabilities and Tibet-related affairs, and confirmed Chinese participation in the current UN Human Rights Council session.
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MFA · 7 JUL 2026

#### Foreign Ministry Spokesperson Mao Ning's Regular Press Conference on July 7, 2026

- **Wang Yi Nordics tour previewed:** The MFA announced Foreign Minister Wang Yi's visit to Denmark, Sweden, Finland and Norway, framing it as a step to stabilise ties with northern EU member states.
  - **China marks 30 years of UNCLOS accession while criticising Japan:** Mao Ning highlighted Beijing's 30-year UNCLOS record and objected to Japanese maritime activities near the Diaoyu Dao islands, while also flagging humanitarian aid to Venezuela.
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## Xi's discourses on community-level work published

- **New volume compiles Xi Jinping speeches on grassroots governance:** The Central Party Literature Press has released a collection of Xi Jinping's discourses on community-level work as a study reference for cadres.
- **Publication signals continued push to institutionalise grid-based governance:** The launch is timed with ongoing Party-building emphasis on grassroots organisations and the neighbourhood governance system.

## Quality CN journalism

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## PBOC governor Pan Gongsheng backs expansion of Hong Kong's RMB liquidity facility to RMB500 billion

- **PBOC backs expanding 2.5× from RMB 200bn to RMB 500bn:** Pan Gongsheng announced support for enlarging the HKMA's RMB liquidity facility from RMB 200 billion to RMB 500 billion and extending maturities to up to three years.
- **Beijing to deepen cross-border RMB infrastructure alongside the facility expansion:** Measures include improved settlement policies, mainland-Hong Kong fast payment system links, and continued central bank bill issuance in Hong Kong.

## Alibaba, ByteDance pull persona chatbots as China tightens AI rules

- **Caixin: Qianwen (Alibaba) and Doubao (ByteDance) notify users of persona-chatbot shutdown:** Both apps announced the withdrawal of customisable AI-character services on July 15 to align with the CAC's new rules on human-like AI.
- **Neither company commented on the decision:** Caixin reports the withdrawals as compliance moves ahead of the regulatory deadline, with no public explanation from either firm.

## Chinese thinking

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## Xu Xiujun: How to Reshape the Discourse System of World Modernization

- **Western modernisation discourse framed as monopoly to be broken:** The CASS scholar argues that mainstream Western modernisation narratives rest on a geopolitical logic of "might makes right," Cold-War ideological framing, and capital-driven industrialisation that no longer explain 21st-century development.
  - **Chinese-style modernisation positioned as global public good:** Xu presents China's path as offering an inclusive, non-imitative model for the Global South and a practical foundation for rebuilding a shared knowledge system of modernisation.
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## **Fu Xiaoqiang: Global Geopolitical Fissures Seen Through the US-Israel-Iran War**

- **CICIR president reads Iran war as marker of accelerated US decline:** Fu argues the US-Israeli campaign against Iran has become a war of attrition that has exposed overstretched US force posture, drained NATO cohesion and cracked the transatlantic values consensus.
  - **Opportunities identified for China in energy, RMB and neighbourhood diplomacy:** The article sees Gulf doubts about the petrodollar, European autonomy, and neighbourhood unease with US bases as openings for RMB energy settlement, EU management and a China-led Asia-Pacific security framework.
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## **Zheng Yu: The Global Governance Dilemma from the Perspective of Distributional Inequality**

- **Rising domestic inequality plus narrowing inter-state gaps produces strongly competitive global order:** The Fudan SIPA professor argues that 21st-century global governance is trapped because widening intra-state inequality pushes protectionism while narrowing North-South gaps sharpens great-power competition.
  - **Reform pathway centred on flexible, networked multilateralism:** Zheng calls for open plurilateral deals (citing WTO investment facilitation talks led by China), regional building blocks such as RCEP and CPTPP, and predictable “developmental competition” between great powers rather than zero-sum decoupling.
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## **Understanding the Global Significance of Xi Jinping's Thought on Party Building from Multiple Dimensions**

- **Contemporary World article frames June 2026 doctrine as export-ready Party model:** The piece presents Xi Jinping Thought on Party Building as offering a template for the 130+ Marxist parties worldwide, citing Harvard and Edelman polls to claim trust levels far above global averages.
  - **Testimonials assembled from foreign party leaders across Global South:** Cited endorsements from Dominica's PM, Laos, Thailand, Mexico, Uruguay, Russia (Zyuganov) and Cambodia are used to argue for the CPC's growing international shaping power.
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## **Cai Fang: How Can Artificial Intelligence Align with High-Quality Development Goals?**

- **CASS researcher warns of "wrong AI" that displaces jobs without raising shared productivity:** Cai argues AI investment must be benchmarked against high-quality development – raising total factor productivity on the supply side and expanding public goods on the demand side to sustain consumption.
  - **Employment-first strategy tied to redistribution:** The article urges universal welfare, redefinition of occupations, and instruments such as universal basic income and social pensions to absorb AI's employment shocks, especially given the “growing old before growing rich” constraint.
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## Huang Zhuo and Zhou Ding: Three Major Bottlenecks in the Acceleration Phase of the Intelligent Economy

- **PKU economists identify three chokepoints: supply chain resilience, ecosystem fragmentation, resource concentration:** They put the core AI industry above RMB 1.2 trillion and count 4.8 million related firms, but warn that leading enterprises are absorbing disproportionate resources.
  - **Policy prescription centres on "AI Plus," open-source ecosystems and compute-power–electricity coordination:** The authors urge concentrated effort on chips and operating systems, scenario opening by SOEs and government, and cultivation of “intelligence-native” one-person companies.
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## Hu Chi: Recommendations on Pathways for Optimizing the Layout and Restructuring the State-Owned Economy During the 15th Five-Year Plan Period

- **SASAC researcher pushes "three concentrations" for state capital:** Hu argues SOE assets should concentrate in national-security and lifeline sectors, public services and livelihoods, and forward-looking strategic industries such as AI, biomanufacturing, low-altitude economy and quantum.
  - **Target of 88%-plus central-SOE revenue in 20 of 97 industrial categories:** The article endorses SASAC's plan to cut low-end presence, dispose of “zombie” and non-core assets, and build “chain-leader” enterprises that anchor secure and controllable supply chains, with private firms as complementary suppliers.
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## Is the Renminbi really undervalued?

- **Cross-country price-level regression finds no RMB undervaluation:** Controlling for China's 42.5% savings rate – 98th percentile globally – the model predicts the RMB should be cheaper than it actually is, according to the article's analysis.
- **IMF's 15-16% undervaluation figure incorporates staff judgment, not just models:** The IMF's own currency-specific models put undervaluation at 6%; the higher estimate cited by ECB President Lagarde reflects an added discretionary adjustment, the article reports.
- **RMB has appreciated ~4.6% against the dollar in 2026:** The exchange rate moved from an average of 7.14 per dollar in 2025 to 6.82 in June 2026, further narrowing any gap the undervaluation debate assumes.

# CN coverage of EU/GER

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AISIXIANG · 8 JUL 2026

## Zhang Chao: The Root of Europe's 'Anxiety': Not Because China Is Too Strong, but Because Europe Is No Longer Seen as a Model

- **Europe's China policy hardening tied to Europe's own decline:** The CASS Institute of European Studies deputy director argues that EU protectionism and the “systemic rival” label reflect fear of marginalisation as European governance weakens and cities decline, not Chinese strength.
  - **Prescription: dialogue channels, easy-win cooperation, EU strategic autonomy from Washington:** Zhang urges expanding the rare-earth dialogue mechanism into a broader economic-security platform, EU visa facilitation for Chinese nationals, and third-party cooperation on environment and humanitarian aid.
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GUANCHA.CN · 10 JUL 2026

## From electric vehicles to duck meat, EU escalates trade investigations

- **EU opens first anti-dumping probe into a Chinese agricultural product:** The European Commission launched an investigation into Chinese duck meat imports on July 9, following complaints from five European producers about price and market-share damage.
  - **Duck meat case extends EU trade defence beyond industrial goods:** The action follows existing measures on electric vehicles, steel and chemicals, according to [guancha.cn](#), marking a broadening of the bilateral trade dispute into food sectors.
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CHINADAILY · 8 JUL 2026

## How should EU-China ties be defined? Insights from MEP Dostál

- **Czech MEP frames EU-China ties as peace-and-cooperation partnership:** Ondřej Dostál argues the EU and China should make peace the basis of cooperation, pursue prosperity jointly, and uphold a stable multilateral order while respecting differences.
  - **Piece amplifies call for EU strategic independence:** China Daily uses Dostál’s remarks to argue that stronger EU internal unity and autonomy from Washington are needed to navigate a multipolar shift.
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CHINADAILY · 6 JUL 2026

## Old playbook makes NATO destabilizer: China Daily editorial

- **Editorial casts 2026 Ankara summit as Cold-War throwback:** The paper argues NATO’s continued invitations to Japan, South Korea, Australia and New Zealand amount to a destabilising “eastward expansion” into the Asia-Pacific.
  - **Line: NATO should abandon interventionism for multilateral cooperation:** The editorial calls the alliance’s reliance on old templates “anachronistic and dangerous” and urges a pivot to cooperative security.
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## **Germany summons Chinese ambassador over alleged 'training of Russian soldiers'; Chinese experts push back**

- **Beijing rejects German allegation as baseless:** MFA spokesperson Lin Jian dismissed the claim that Russian soldiers are being trained in China as having “no factual basis” and as a smear.
  - **Fudan scholar Jian Junbo frames it as diversion from Europe's Ukraine strains:** Global Times cites Jian arguing the German démarche is intended to deflect attention from EU internal difficulties tied to the Ukraine crisis.
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## **Is Europe's chaotic scramble for ACs merely the result of a natural disaster?**

- **Editorial blames European governance failures, not just heatwave:** The piece attributes the AC scramble to a policy lag behind climate reality, misallocated resources and prioritisation of emissions targets over basic citizen welfare.
  - **Framing positions China as ready partner rather than exporter under overcapacity attack:** Global Times highlights growing European demand for Chinese ACs as evidence of the value of cooperation and offers China's help on climate adaptation.
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## **As China-EU trade consultation mechanism begins, European diplomat calls for trade rebalancing**

- **Belgian ambassador calls Europe's economic shift a "painful awakening":** Bruno Angelet said at the 14th World Peace Forum that Europe must now build a new economic security framework integrating geopolitics and geoeconomics.
- **EU consensus backs stable China ties despite strategic friction:** Greek Ambassador Evgenios Kalpyris said broad EU agreement exists to pursue constructive relations with Beijing even amid ongoing trade and strategic challenges.

*Caveat: nur stichprobenartig auf Qualität / Richtigkeit überprüft — Coverage nur bis 12. Juli 2026.*

### 1. Prominente Zitate und Positionen zu China-bezogenen Angelegenheiten

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ZEIT ONLINE · 9 JUL 2026

**Xi Jinping** Staats- und Parteichef, Volksrepublik China fordert am Donnerstag nach dem tödlichen Fabrikbrand in Jinjiang umfassende Such- und Rettungsmaßnahmen sowie eine rasche Aufklärung der Brandursache; Verantwortliche sollten streng zur Rechenschaft gezogen werden.

„Mindestens 28 Tote bei Brand in Schuhfabrik in China“

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WELT · 9 JUL 2026

**Johann Wadephul** Bundesaußenminister, CDU nennt am Donnerstag die Erkenntnisse zur militärischen Kooperation zwischen Russland und China „äußerst besorgniserregend“.

„Geheimdokumente deuten auf engere Zusammenarbeit Russlands und Chinas hin – Wadephul besorgt“

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HANDELSBLATT · 8 JUL 2026

**Dorothee Bär** Bundesforschungsministerin, CSU sagt am Mittwoch in Potsdam: „Wir haben Partner. Wir haben Wettbewerber. Wir haben Systemrivalen“ – „China ist das eklatanteste Beispiel“; „Wissenschaftsfreiheit bedeutet nicht Spionagefreiheit“.

„Ministerin Bär äußert sich erstmals zur China-Affäre“

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DER SPIEGEL · 6 JUL 2026

**Penny Wong** Außenministerin, Australien nennt am Montag in Fidschi Chinas Raketentest im Pazifik „destabilisierend für die Region“, der „vor dem Hintergrund eines raschen militärischen Aufrüstungsprozesses Chinas“ erfolge.

„China testet Raketenstart von Atom-U-Boot im Südpazifik“

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FAZ.NET · 6 JUL 2026

**Winston Peters** Außenminister, Neuseeland erklärt am Montag, er sei „tief besorgt“ über Chinas Raketentest, der „einem wiederkehrenden Muster“ folge: „Wir wie unsere Nachbarn in anderen Pazifikstaaten haben kein Interesse daran, dass China den Südpazifik als Testgebiet für seine Raketenfähigkeiten nutzt.“

„Chinesisches Atom-U-Boot feuert Langstreckenrakete ab“

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WELT · 6 JUL 2026

**Justin Tkatchenko** Außenminister, Papua-Neuguinea sagt am Montag zu Chinas vorab angekündigtem Raketentest im Pazifik: „Ich wurde persönlich vom chinesischen Botschafter angerufen“.

„China testet Interkontinentalrakete im Pazifik - und startet Marinemanöver mit Russland“

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HANDELSBLATT · 6 JUL 2026

**Mao Ning** Sprecherin, Außenministerium der Volksrepublik China weist am Montag in Peking Berichte über die Ausbildung russischer Soldaten in China als „reine Verleumdung ohne jede faktische Grundlage“ zurück und fordert Deutschland auf, Chinas Position „objektiv und rational“ zu betrachten; China habe „stets eine objektive und unparteiische Position vertreten, sich der Förderung einer politischen Lösung der Krise verpflichtet gezeigt und weiterhin auf eigene Weise zu Friedensgesprächen ermutigt“.

„China weist Berichte über Ausbildung russischer Soldaten zurück“

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ZEIT ONLINE · 7 JUL 2026

**Tommy Pigott** Sprecher, US-Außenministerium sagt am Dienstag in Washington: „In einer Zeit, in der die Vereinigten Staaten mehr denn je daran arbeiten, die Verbreitung von Atomwaffen zu verhindern, tut China genau das Gegenteil“ – „Pekings rascher und intransparenter Atomwaffenausbau ist von großer Besorgnis für die Region und die Welt.“

„USA reagieren mit »großer Besorgnis« auf chinesischen Raketentest“

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WELT · 10 JUL 2026

**Rahm Emanuel** US-Demokrat, möglicher Präsidentschaftskandidat 2028 fordert am Freitag im WELT-Interview in Berlin, Europa müsse „Resilienz aufbauen, gemeinsame Forschung in Robotik, KI, Quantencomputing und Fusionstechnologie betreiben, um China voraus zu sein“.

„Die Nato muss fähig sein, konventionelle und unkonventionelle Kriege gleichzeitig zu führen“

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WELT · 10 JUL 2026

**Anne Applebaum** US-Historikerin, Friedenspreisträgerin des Deutschen Buchhandels sagt am Freitag der „Süddeutschen Zeitung“, die europäische Souveränität stehe „unter großem Druck durch die USA, Russland und in wirtschaftlicher Hinsicht auch durch China“.

„Könnte das Mitte-rechts-Spektrum diskreditieren – Anne Applebaum warnt vor CDU/AfD-Koalition“

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SÜDDEUTSCHE ZEITUNG · 7 JUL 2026

**Jens Eskelund** Präsident, Europäische Handelskammer in China sagt am Dienstag in Peking zu Europas Abhängigkeit von China: „Das sehen wir nicht. Wenn überhaupt, wird Europa gerade abhängiger von China“.

„Deutschland hat die größte Abhängigkeit von China“

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SÜDDEUTSCHE ZEITUNG · 7 JUL 2026

**Jens Eskelund** Präsident, Europäische Handelskammer in China sagt am Dienstag in Peking zu Pekings Exportkontrollen für Seltene Erden, „fast 44 Prozent unserer großen Mitgliedsunternehmen, die mehr als tausend Beschäftigte haben, waren davon betroffen. Einige haben erhebliche Verluste erlitten“.

„Deutschland hat die größte Abhängigkeit von China“

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WELT · 6 JUL 2026

**Wang Xuemeng** Sprecher, chinesische Marine erklärt am Montag im Onlinedienst WeChat, die mit einem „Übungsgefechtsskopf“ ausgestattete Rakete sei „präzise im vorgesehenen Seegebiet“ im Pazifik eingeschlagen und Teil der „jährlichen militärischen Übungen Chinas“.

„China testet Interkontinentalrakete im Pazifik – und startet Marinemanöver mit Russland“

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FAZ.NET · 7 JUL 2026

**Johannes Volkmann** CDU-Bundestagsabgeordneter, CDU-Vorstand sagt am Dienstag zum Systemwettbewerb mit China: „Bestehen wir den Systemwettbewerb?“; „So viel Bürokratie können wir gar nicht abbauen, so viele Steuern können wir gar nicht senken, so viele Nebenkosten können wir nicht reduzieren, um diesen unfairen Vorteil auszugleichen“.

„Bestehen wir den Systemwettbewerb?“

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FAZ.NET · 7 JUL 2026

**Anton Hofreiter** Vorsitzender Europaausschuss, Bündnis 90/Die Grünen sagt am Dienstag, China habe als autokratisches System erstmals „Kapitalismus mit Langfristdenken verheiratet“; er schlägt „atmenden Zöllen“ vor, die je nach Chinas unfairen Praktiken steigen oder sinken könnten.

„Bestehen wir den Systemwettbewerb?“

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FAZ.NET · 7 JUL 2026

**Janka Oertel** Asien-Direktorin, European Council on Foreign Relations sagt am Dienstag, im Systemwettbewerb mit China gehe es „um unsere industriell - wirtschaftliche Zukunft und um die Jobs unserer Kinder“.

„Bestehen wir den Systemwettbewerb?“

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HANDELSBLATT · 9 JUL 2026

**Ayse Asar** forschungspolitische Sprecherin, Bündnis 90/Die Grünen sagt am Mittwoch im Bundestags-Forschungsausschuss zur Chinaverbindung des Cisca: Der heutige Bericht der Bundesregierung hat jedoch mehr Fragen offengelassen als beantwortet; Der Cisca-Fall ist ein Stresstest für die deutsche Forschungssicherheit.

„Ministerin Bär äußert sich zur China-Affäre“

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HANDELSBLATT · 7 JUL 2026

**Christoph M. Schmidt** Präsident, Leibniz-Gemeinschaft sagt am Dienstag dem Handelsblatt, internationale Offenheit der Wissenschaft bleibe „unverzichtbar“; „Sie muss aber stärker als früher gegen die Risiken des Wissensabflusses und des Missbrauchs abgewogen werden“.

„Spitzenforscher fordern Maßnahmen gegen Wissenschaftsspionage“

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HANDELSBLATT · 7 JUL 2026

**Holger Hanselka** Präsident, Fraunhofer-Gesellschaft fordert am Dienstag im Umgang mit sensiblen China-Kooperationen „belastbare Leitlinien, um Risiken faktenbasiert bewerten zu können“ sowie „klare Kriterien und Rechtssicherheit für die Bewertung sensibler Technologien“.

„Spitzenforscher fordern Maßnahmen gegen Wissenschaftsspionage“

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WELT · 4 JUL 2026

**Jürgen Matthes** Institut der deutschen Wirtschaft, IW Köln sagt am Samstag in WELT AM SONNTAG: „China bietet seine Produkte oft für 50 bis 60 Prozent unserer Preise an“; das sei „volkswirtschaftlich unplausibel“; „China ist besser geworden und billiger. Da stimmt etwas nicht.“

„Appell an Regierung Merz - Ökonomen warnen vor Chinas Aggression“

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WELT · 4 JUL 2026

**Jürgen Matthes** Institut der deutschen Wirtschaft, IW Köln fordert am Samstag, unfaire Preisvorteile aus Subventionen und künstlich schwacher Währung zu quantifizieren und mit Zöllen auszugleichen: „Ausgleichszölle, die nur den unfairen Teil herausnehmen, haben nichts mit Protektionismus zu tun, sondern sind im Kern gute Wettbewerbspolitik“.

„Appell an Regierung Merz - Ökonomen warnen vor Chinas Aggression“

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FAZ.NET · 9 JUL 2026

**Alicia García-Herrero** Chefökonomin Asien-Pazifik, Natixis; Senior Fellow, Bruegel sagt am Donnerstag zu Pekings neuer Meldepflicht gegen Kapitalflucht: „Die Maßnahmen stopfen ein großes Leck und setzen ein starkes Signal, doch sie werden nicht den gesamten Druck beseitigen“; ein Großteil der Abflüsse erfolge „über Untergrundkanäle oder durch manipulierte Rechnungsstellung“.

„China kämpft gegen die chinesische Kapitalflucht“

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HANDELSBLATT · 8 JUL 2026

**Sonali Chowdhry** Ökonomin, Deutsches Institut für Wirtschaftsforschung, DIW Berlin sagt am Mittwoch zu geplanten US-Hafengebühren auf in China gebaute Schiffe: „Die Hafengebühren auf in China gebaute Schiffe sind eine neue Eskalationsstufe im Handelskonflikt“. „Erstmals geraten nicht nur Waren, sondern auch die Transportmittel selbst ins Visier.“

„Deutschland profitiert von US-Hafengebühren gegen Chinas Schiffe“

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DER SPIEGEL · 10 JUL 2026

**Björn Alexander Düben** Politikwissenschaftler, Hertie School Berlin sagt am Freitag im SPIEGEL-Interview: „Russland ist in den vergangenen Jahren immer abhängiger von China geworden.“; „China hat Russland genau dort, wo es Russland haben möchte.“

„China hat Russland genau dort, wo es Russland haben möchte“

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HANDELSBLATT · 8 JUL 2026

**Wendy Chang** Senior Analyst, Mercator Institute for China Studies, MERICS sagt am Mittwoch dem Handelsblatt zu Chinas wachsender KI-Verbreitung im globalen Süden: „Wir können daher mit einer weiter zunehmenden weltweiten Nutzung rechnen – zumal sich chinesische Modelle weiter verbessern“; allerdings „könnten Bedenken hinsichtlich der Datensicherheit ihre Verbreitung in anderen Märkten begrenzen“.

„Geopolitischer Hebel - China holt auf und drängt in den globalen Süden“

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WELT · 9 JUL 2026

**Justin Bronk** Analyst, Royal United Services Institute, RUSI London sagt am Donnerstag zum gemeinsamen russisch-chinesischen Raketenabwehrprojekt, es wirke, „als wäre es durch den Wunsch motiviert, Waffen wie den neuen bodengestützten Hyperschallflugkörper der US-Streitkräfte frühzeitig abzufangen“.

„Geheimdokumente deuten auf engere Zusammenarbeit Russlands und Chinas hin - Wadephul besorgt“

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HANDELSBLATT · 8 JUL 2026

**Roman Koidl** Gründer und Vorstandschef, eClear ist am Mittwoch zur neuen EU-Zollpflicht für chinesische Kleinsendungen überzeugt: „Der Markt für E-Commerce, insbesondere aus China, wird dadurch um 70 bis 75 Prozent einbrechen“; „Schon jetzt ziehen sich zahlreiche Marktteilnehmer zurück.“

„Deutsches Start-up hilft China aus der Zollmisere“

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HANDELSBLATT · 7 JUL 2026

**Olaf Scale** Asia-Pacific-Chef, Rosenberger sagt am Mittwoch auf der Messe „electronica China“ in Shanghai: „Es ist vielleicht noch nicht in allen Konzernetagen hinreichend angekommen, dass das hier ein Hightech-Land ist“; „Es ist kein Billigland mehr.“; deutsche Unternehmen sollten „China als Bootcamp für Innovation“ nutzen.

„China als Bootcamp für Innovation“

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HANDELSBLATT · 9 JUL 2026

**Thomas Luk** Unternehmensberater für Automobilfirmen, China/Deutschland sagt am Donnerstag dem Handelsblatt: „Bei deutschen Premiumherstellern wie BMW dürfte in guten Zeiten rund 60 Prozent des Gewinns aus China gekommen sein“.

„So groß ist das China-Problem von BMW“

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HANDELSBLATT · 10 JUL 2026

**Jochen Goller** Vertriebsvorstand, BMW AG sagt am Freitag zum Absatzeinbruch in China: „Trotz weltweiter Herausforderungen konnten wir in den USA und Europa unseren Absatz steigern“.

„Absatz von BMW schrumpft wegen des schwachen China-Geschäfts“

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## 2. Wichtige China-bezogene Entwicklungen in Fakten und Zahlen

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SÜDDEUTSCHE ZEITUNG · 6 JUL 2026

**China dominiert den globalen Seltenerden-Markt:** China kontrolliert laut Politikwissenschaftler Jakob Kullik 70 Prozent des Bergbaus, 90 Prozent der Verarbeitung und über 94 Prozent der Magnetherstellung bei Seltenen Erden.

„Rohstoff-Wettlauf mit deutschen Hemmschuhen“

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SÜDDEUTSCHE ZEITUNG · 6 JUL 2026

**Deutschland stark von chinesischen Seltenerden-Importen abhängig:** Deutschland importiert 65,5 Prozent der Seltenen Erden direkt aus China.

„Rohstoff-Wettlauf mit deutschen Hemmschuhen“

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WELT.DE · 4 JUL 2026

**Chinesische Preise unterbieten deutsche Industrie deutlich:** Laut Ökonom Matthes bietet China seine Produkte oft für 50 bis 60 Prozent der deutschen Preise an.

„Appell an Regierung Merz“

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WELT.DE · 4 JUL 2026

**Chinas aggressive Politik kostet deutsche Industriejobs:** Laut IW-Schätzung gingen 400.000 der 520.000 seit 2019 verlorenen deutschen Industriejobs allein wegen Chinas aggressiver Politik verloren.

„Appell an Regierung Merz“

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FRANKFURTER ALLGEMEINE ZEITUNG · 6 JUL 2026

**China treibt Chip-Eigenproduktion voran:** Bereits in diesem Jahr sollen 70 Prozent der in China benötigten Chips im Land selbst hergestellt werden.

„Europlatz Frankfurt: Schaufeln und Spitzhacken“

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HANDELSBLATT.COM · 7 JUL 2026

**Chinesischer KI-Chip-Markt wächst auf Milliardenvolumen:** Der chinesische Deepseek-Konzern beherrscht rund die Hälfte des insgesamt etwa 50 Milliarden Dollar schweren KI-Chip-Marktes.

„Deepseek entwickelt offenbar eigenen KI-Chip“

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WIWO.DE · 7 JUL 2026

**China kontrolliert fast die Hälfte der größten Rüstungskonzerne weltweit:** China kontrolliert sieben der 15 größten Rüstungsunternehmen der Welt.

„Nato in Ankara; Rüstungsgipfel der Amerika-Deals“

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HANDELSBLATT.COM · 9 JUL 2026

**Fast ein Viertel der chinesischen Unternehmen schreibt rote Zahlen:** Einer Merics-Analyse zufolge waren im vergangenen Jahr fast 24 Prozent der Unternehmen in China defizitär.

“Überkapazitäten; China droht ein Rückfall in die Deflation”

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HANDELSBLATT.COM · 9 JUL 2026

**Chinas Autoabsatz bricht im Juni deutlich ein:** Der Autoabsatz in China sank im Vergleich zum Vorjahresmonat um 23 Prozent auf 1,6 Millionen Fahrzeuge.

“Überkapazitäten; China droht ein Rückfall in die Deflation”

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HANDELSBLATT.COM · 8 JUL 2026

**China baut inzwischen die Hälfte aller neuen Handelsschiffe weltweit:** Rund die Hälfte aller neu gebauten Handelsschiffe stammt inzwischen aus China.

“Schiffhandel; Deutschland profitiert von US-Hafengebühren gegen Chinas Schiffe”

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HANDELSBLATT.COM · 8 JUL 2026

**China ordnet sein Hochschulsystem massiv um:** Zwischen 2021 und 2025 wurden in China landesweit rund 12.200 Bachelorstudiengänge gestrichen oder ausgesetzt, während etwa 10.200 neue entstanden.

“Asia Techonomics; China setzt nun auf Bildungslieferketten”

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HANDELSBLATT.COM · 8 JUL 2026

**Peking setzt sich ambitioniertes KI-Ziel:** Chinas Staatsführung will, dass bis 2030 KI in 90 Prozent aller Wirtschaftsbereiche wirksam integriert ist.

“Asia Techonomics; China setzt nun auf Bildungslieferketten”

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SPIEGEL PLUS · 8 JUL 2026

**Chinas Exportüberschuss hat sich seit 2020 vervierfacht:** Chinas Exportüberschüsse haben sich seit 2020 nach Angaben von Bundeskanzler Merz vervierfacht.

“Verfehlte Handelsstrategien; Was Peking und Berlin verbindet”

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ZEIT.DE · 9 JUL 2026

**Deutsch-chinesischer Handel wächst spürbar:** Das deutsche China-Geschäft legte im Vergleich zum Vormonat um 7,1 Prozent auf 6,2 Milliarden Euro zu.

“Außenhandel; Deutsche Exporte steigen vierten Monat in Folge, US-Geschäft wächst”

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BILD PLUS · 9 JUL 2026

**VW verliert massiv an Boden in China:** Der VW-Absatz in China ging seit 2019 um rund 36 Prozent zurück, laut internem Sparpapier stehen konzernweit bis zu 120.000 Jobs zur Disposition.

“Neue Details zum Sparhammer; VW-Geheimpapier: Bis zu 120.000 Jobs weg!”

### 3. Fünf zentrale Themen in der deutschen China-Politik Diskussion

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#### Chinas wachsende militärische Kooperation mit Russland

Nach F.A.Z.-Informationen bildet China russische Soldaten – sowohl in Russland als auch in China – an Drohnen, im Minenräumen und im Pionierwesen aus, während chinesische Streitkräfte umgekehrt Kriegserfahrungen aus der Ukraine für die eigene Ausbildung nutzen. Peking bestreitet dies offiziell als „Verleumdung ohne jede faktische Grundlage“, nachdem der chinesische Botschafter zu einem „dringlichen Gespräch“ ins Auswärtige Amt gebeten worden war. Laut Recherchen, auf die sich Welt beruft, sollen Moskau und Peking zudem im Geheimen an einem gemeinsamen Luft- und Raketenabwehrsystem der nächsten Generation arbeiten – Außenminister Wadephul nannte die Erkenntnisse „äußerst besorgniserregend“.

##### PROMINENTE QUELLEN

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F.A.Z. · 6 JUL 2026 *“F.A.Z. exklusiv; China bildet russische Soldaten an Drohnen aus”*

HANDELSBLATT · 6 JUL 2026 *“Ukrainekrieg; China weist Berichte über Ausbildung russischer Soldaten zurück”*

WELT · 9 JUL 2026

*“Medienbericht; Geheimdokumente deuten auf engere Zusammenarbeit Russlands und Chinas hin – Wadephul besorgt”*

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#### Chinesischer Interkontinentalraketen test im Pazifik löst regionale Proteste aus

China hat nach eigenen Angaben erstmals seit zwei Jahren eine Langstreckenrakete von einem atomgetriebenen U-Boot aus in den Südpazifik abgefeuert und spricht von einem routinemäßigen, völkerrechtskonformen Test mit Übungssprengkopf. Australien bezeichnete das Manöver als „destabilisierend“, auch Japan äußerte sich besorgt – zumal der Test zeitgleich mit einem gemeinsamen chinesisch-russischen Marinemanöver vor Qingdao stattfand. Die USA reagierten mit „großer Besorgnis“ und forderten China auf, seine Meldepflichten als ständiges UN-Sicherheitsratsmitglied bei Raketen- und Weltraumstarts einzuhalten.

##### PROMINENTE QUELLEN

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ZEIT · 6 JUL 2026 *“Chinesischer Raketentest; Chinesisches Atom-U-Boot im Südpazifik feuert Testrakete ab”*

WELT · 6 JUL 2026

*“Kurz vor Nato-Gipfel; China testet Interkontinentalrakete im Pazifik – und startet Marinemanöver mit Russland”*

SPIEGEL (SPIEGEL.DE) · 6 JUL 2026

*“Benachbarte Staaten besorgt; China testet Raketenstart von Atom-U-Boot im Südpazifik”*

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## Debatte um deutsche Abhängigkeit von China und „Systemwettbewerb“ vor den Merz-Reformen

Der Chef der Europäischen Handelskammer in China, Jens Eskelund, warnt im SZ-Interview, Europa werde trotz jahrelanger De-Risking-Rhetorik eher abhängiger von China statt unabhängiger, weil chinesische Wettbewerber inzwischen in fast jeder Branche präsent seien. Ökonomen wie IfW-Chef Moritz Schularick und IW-Forscher Jürgen Matthes warnen laut Welt, das schwarz-rote Reformpaket löse den technologischen Rückstand nicht, während Chinas „aggressive Exportpolitik“ mit Preisen von 50 bis 60 Prozent des deutschen Niveaus erheblich zum Verlust von Industriearbeitsplätzen beitrage. CDU- und Grünen-Politiker (Volkmann, Hofreiter) fordern laut F.A.Z. zudem gemeinsam eine härtere Linie im „Systemwettbewerb“ mit Peking, weil es dabei um die „industriell-wirtschaftliche Zukunft“ und die Systemfrage Demokratie gegen Autokratie gehe.

### PROMINENTE QUELLEN

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**SÜDDEUTSCHE ZEITUNG** · 7 JUL 2026 *„Deutschland hat die größte Abhängigkeit von China“*

**WELT** · 4 JUL 2026

*„Appell an Regierung Merz; Technologischer Rückstand geht von Reformen nicht weg – Ökonomen warnen vor Chinas Aggression“*

**F.A.Z.** · 7 JUL 2026 *„Umgang mit China; Bestehen wir den Systemwettbewerb?“*

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## Schwaches China-Geschäft drückt Absatzzahlen deutscher Autobauer

Eine Handelsblatt-Datenanalyse zeigt, dass BMWs Neuzulassungen in China auf den tiefsten Stand seit mindestens sechs Jahren gefallen sind, was der Konzern jüngst mit einer Gewinnwarnung quittierte. Im zweiten Quartal brach der BMW-Absatz in China um rund 30 Prozent ein, was laut Zeit den Gesamtkonzernabsatz um 4,9 Prozent drückte, obwohl Europa und die USA zulegten. Audi meldete laut Welt einen Absatzrückgang von 8,2 Prozent und begründete dies explizit mit einem „weiterhin anspruchsvollen und hoch wettbewerbsintensiven“ Marktumfeld in China.

### PROMINENTE QUELLEN

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**HANDELSBLATT** · 9 JUL 2026 *„Autobauer; So groß ist das China-Problem von BMW“*

**ZEIT** · 10 JUL 2026 *„BMW; BMW-Absatz sinkt um fast fünf Prozent“*

**WELT** · 10 JUL 2026 *„Audi-Absatz sinkt um gut 8 Prozent“*

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## Nato-Gipfel rückt China neben Russland als zentrale Bedrohung für die westliche Verteidigungsindustrie in den Fokus

Im Vorfeld des Nato-Gipfels in Ankara verschiebt sich laut WirtschaftsWoche der strategische Fokus der USA zunehmend von der russischen Bedrohung hin zur Rivalität mit China, dessen wirtschaftliche, politische und militärische Dominanz als „ernste Gefahr“ gilt. Nato-Generalsekretär Rutte forderte laut Welt angesichts der Bedrohungen durch „Russland, China und Nordkorea“ eine „Revolution“ in der transatlantischen Verteidigungsindustrie. Im Streit um Grönland verweist Handelsblatt zudem darauf, dass China sich bei kritischen Mineralien für Halbleiter, Batterien und Waffensysteme bereits früh strategische Claims gesichert habe, was den Wettlauf um die Insel befeuert.

### PROMINENTE QUELLEN

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WIRTSCHAFTSWOCHEN · 5 JUL 2026 *“Nato-Gipfel; Europa rüstet auf, doch Washington kassiert den größten Teil”*

WELT · 7 JUL 2026 *“Nato-Chef fordert ‚Revolution‘ in der Verteidigungsindustrie”*

HANDELSBLATT · 8 JUL 2026 *“Nato-Gipfel; Warum der Grönland-Streit nie erledigt war”*